Strategic Assessment of Incentives
Appendices

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Appendix 1. Steering Group and Interviews

Project Steering Group

Arthur Fish, Business Incentives Coordinator, Business Oregon – Project Manager
Melanie Cutler, Exemptions Specialist, Oregon Department of Revenue
Mark Gharst, Lobbyist, League of Oregon Cities
Courtney Griesel, Economic Development Director, Springfield
Michael Meyers, Economist, Business Oregon
Jill Miles, Recruitment Officer, Business Oregon
Brian Plinski, Entrepreneurship Strategist, Business Oregon
Jeffery Stell, Incentives Project Coordinator, Business Oregon
Amy Vandervliet, Regional Economist, Oregon Employment Department

Interviews

Jordana Barclay, Business Oregon
Nick Batz, Business Oregon
Nathan Buehler, Business Oregon
Bryant Campbell, Business Oregon
Paul Chalmers, former county assessor and Wasco County Chief Appraiser
Jody Christensen, Regional Solutions Team, Governor's Office
Chris Cummings, Business Oregon
Steve Forrester, City Manager, Prineville, Oregon
Oregon Mark Gharst, Business Oregon
Hon. Bill Hansell, Oregon State Senate
Mark Landauer, Special Districts Association of Oregon, Oregon Public Ports Association
Hon. John Lively, Oregon House of Representatives
Sandra McDonough, Oregon Business & Industry
Michael Meyers, Business Oregon
Jill Miles, Business Oregon
Matt Miller, OEDA president and Port of Columbia County
Hon. Kelley Minty Morris, Klamath County Commission and OBDC
Jim Pfarrer, Oregon Employment Department
Brian Plinski, Business Oregon
Andy Reed, Prosper Portland
Dick Sheehy, Jacobs
Jon Stark, Redmond Economic Development Inc
Jeff Stell, Business Oregon
Hon. Steve Uffelman, Mayor, Prineville, Oregon

Ed Tabor, Business Oregon
Jody Wiser, Tax Fairness Oregon

* Names in bold were interviewed in December 2020. Other were interviewed over the course of the project.

Introduction and general questions for stakeholder conversations

Dear ….

Business Oregon is undertaking a strategic assessment of incentives to 1) examine how well our legacy incentive programs are aligned with our current strategic priorities, 2) review the effectiveness and efficiency of the state's incentive management practices, and 3) provide recommendations for improvement.

We have contracted with Smart Incentives to conduct this assessment. Smart Incentives, a national leader on state and local incentive policies, works with economic development organizations to help them manage their incentive programs effectively and responsibly.

Would you be available for a 30 minute confidential conversation with Ellen Harpel, Smart Incentives founder and president, to share your perspective on how Oregon's incentive portfolio performs and affects our state's competitiveness? We would value your thoughts on how well incentives work now and how they might be improved.

If you are willing, below are some suggested dates and times for either a telephone call or video conference, depending on your preference. If these dates are not convenient, please feel free to suggest others and we will do our best to make them work.

1. Are you familiar with the Business Oregon strategic plan? What are your thoughts on the plan's priorities? (Share one-pager if asked and/or after they agree to participate but prior to the call)
2. How have you interacted with Business Oregon's incentive programs? (share list)
3. Do you think that the incentives you are familiar with work well to support the state's priorities?
4. What is your perception of how well these incentives enhance Oregon's competitiveness vis-à-vis other states?
5. What do you think would make incentives work better for businesses? For communities? For the state?
6. What are the biggest challenges or opportunities to make changes in Oregon's incentive portfolio?
7. What information would you like to have available about incentive use?

Appendix 2. Alignment Between Incentives and Priorities

Enterprise Zone

Logic Model

The Need/Purpose

To attract private business investment and help growing resident businesses in designated zones where geography is a hindrance to commerce in order to stimulate and protect community economic success, thereby creating jobs and improving the quality of life for (or welfare of) residents.

This program sunsets in 2025, but existing exemptions will continue.

Resources/Inputs

Property tax exemptions for 3-5 years for new buildings, equipment and personal property that further the production of income, primarily for companies in traded sectors, in 74 designated zones. $5.4 billion in taxable assessed value was exempted with a revenue impact of $84.3 million to the zone communities (savings for the recipients) in 2019-20. The estimated net cost is $140 million for the two years 2019-21. [1]

Outputs

In tax year 2019-20, there were 460 standard exemptions encompassing 362 projects among 300 business firms. These firms had nearly 40,000 full-time employees and 19,060 jobs newly created with the exemption. Data covering much of the lifetime of the program do exist, but not continuously, and are difficult to aggregate, maintain or publicize in relation to tax and other data.

Expected Benefits

Short-term

Private, traded sector businesses invest in Enterprise Zones

Medium-term

Businesses receiving the exemption add jobs at specified wage levels in some cases.

Businesses continue to pay other state and local taxes and pay property taxes when the agreement expires. Some may receive other incentives that reduce their tax payments.

Additional conditions, when applicable, may provide additional benefits to the community.

Long-term

Zone communities “for which geography may act as an economic hindrance” experience greater economic success and well-being among their residents.

Alignment with Priorities from the Business Oregon Strategic Plan, 2018-2022

Innovate Oregon's Economy	**Grow Small and Middle-market Companies**	**Cultivate Rural Economic Stability**	**Advance Economic Opportunity for Underrepresented People**	**Ensure an Inclusive, Transparent and Fiscally Health Agency**
No	Likely	Yes	Possibly	Yes
The EZ program does not help expand R&D capacity or **increase access to capital for startups, though there may be individual examples where this occurred.**	Around 70% of beneficiary companies are Oregon-based businesses and the incentive is meant to support growing businesses. The investment and employment thresholds mean growing small and medium sized companies would be eligible.	Many designated zones are in rural areas, and the requisite compensation averages, when applicable, are inherently lower in counties that tend to have rural enterprise zones.	Participating businesses may be minority-owned and their employees may include people of color, immigrant populations, individuals from native and tribal communities, but this is not a requirement and rarely if ever a locally imposed condition, even though local interest in appropriate policies may grow. Data is not readily available.	There is substantial, high-quality information available about the rules, use, costs and benefits associated with the program. Further research and analytical improvement continue to be sought, as practicable.

Mapping to strategies and linkages to metrics

Gaps, Data Shortcomings and Opportunities for Improvement

- It is likely that small and middle market companies use the Enterprise Zone to help finance their growth plans. If “small and middle market companies” can be defined by employment and possibly NAICS code, then it might be technically possible for Business Oregon to use data already collected to report on the number and percentage of recipients in this category.
- It may also be possible to enhance reporting to provide a more complete picture of Enterprise Zone activities in rural areas that cultivate rural economic stability, including metrics for rural small businesses. This approach would require rethinking forms and procedures through which data are gathered and would need to be pursued in consultation with local and state partners involved in Enterprise Zone reporting. It would likely require additional staff, funding, and data management resources.
- Business Oregon already works to enhance local economic development capacity regarding incentive use through in-person workshops and, lately, via webinar offerings. Stakeholder interviews suggest that local organizations may also benefit from technical assistance on strategic approaches to incentives that would help communities market the program, better link their Enterprise Zone to other economic development initiatives, and leverage the opportunity the program provides to incorporate conditions beyond the essential statutory requirements into their agreements with recipients. Additional resources would be needed to provide more regular, rigorous and sophisticated technical assistance and support.
- Lack of follow-up on FSHA agreements executed as part of the approval process represents a gap in the system. While the agreements may be in place, there is no data suggesting how often companies actually work with FSHA partners or how many individuals have been hired as a result of the agreements. More insight into this element of the program could support the priorities to grow small and middle market companies and advance economic opportunity for underrepresented people.
- Similarly, it should be possible, if not easy, to share outcomes and good practices from the communities that include additional conditions in their agreements. Insights from this source may illuminate ways Oregon communities are working toward several of the priorities and supporting the strategies.
- It does not appear that data is collected to indicate the ownership characteristics of participating businesses. Business Oregon could consider collecting demographic data to determine whether the program assists underrepresented entrepreneurs and small business owners.
- An impressive amount of transactional and compliance data is collected and reported for the Enterprise Zone program. Stakeholders also expressed interest in understanding the longer term contributions that the program makes to state and local economies. Some questions to consider could include: How have area economic conditions changed since zone designation, and how have the incentivized investments fared over time once they exit the program? Do they continue to generate economic and fiscal benefits for the community?
- The reporting process is labor intensive and appears to rely heavily on one person’s knowledge of the procedures. Should reporting processes be codified and should information systems for managing data be improved (via an online portal, for example)?

What resources (funds, expertise, time) might be available? Can resources and support be obtained via legislation?

- The 2009 study suggested that the program does not seem to be working for “rural remote” areas. Is there an opportunity to compare successful and non-successful zones (or zones with at least one project vs. those with none), perhaps as part of the capacity building strategy?

Long Term Rural Enterprise Zone Facility

Logic Model

The Need/Purpose

Not specified in statute, but consistent with the Enterprise Zone program:

To attract private business investment and help growing resident businesses in designated zones where geography is a hindrance to commerce in order to stimulate and protect community economic success, thereby creating jobs and improving the quality of life for (or welfare of) residents.

This program sunsets in 2025, but existing exemptions will continue.

Resources/Inputs

Property tax exemptions during construction and then for 7-15 years for new buildings, equipment and personal property that further the production of income, in presently 26 eligible counties based on economic statistics with 40 rural enterprise zones. $5.5 billion in taxable assessed value was exempted with a revenue impact of $86 million to the zone communities (savings for the recipients) in 2019-20. The estimated net cost is $190 million for the two years 2019-21. [2]

Outputs

In tax year 2019-20, there were 7 firms with 14 facilities participating in this program. In 2019, these firms had added 651 full time employees with relatively high wages plus 650 contractors.

Expected Benefits

Short-term

Private businesses make substantial investments in rural Enterprise Zones.

Medium-term

Businesses receiving the exemption add jobs at specified wage levels.

Businesses continue to pay other state and local taxes and other local payments stipulated in the agreement. Some may receive other incentives that reduce their tax payments.

Additional conditions may provide additional benefits to the community.

Long-term

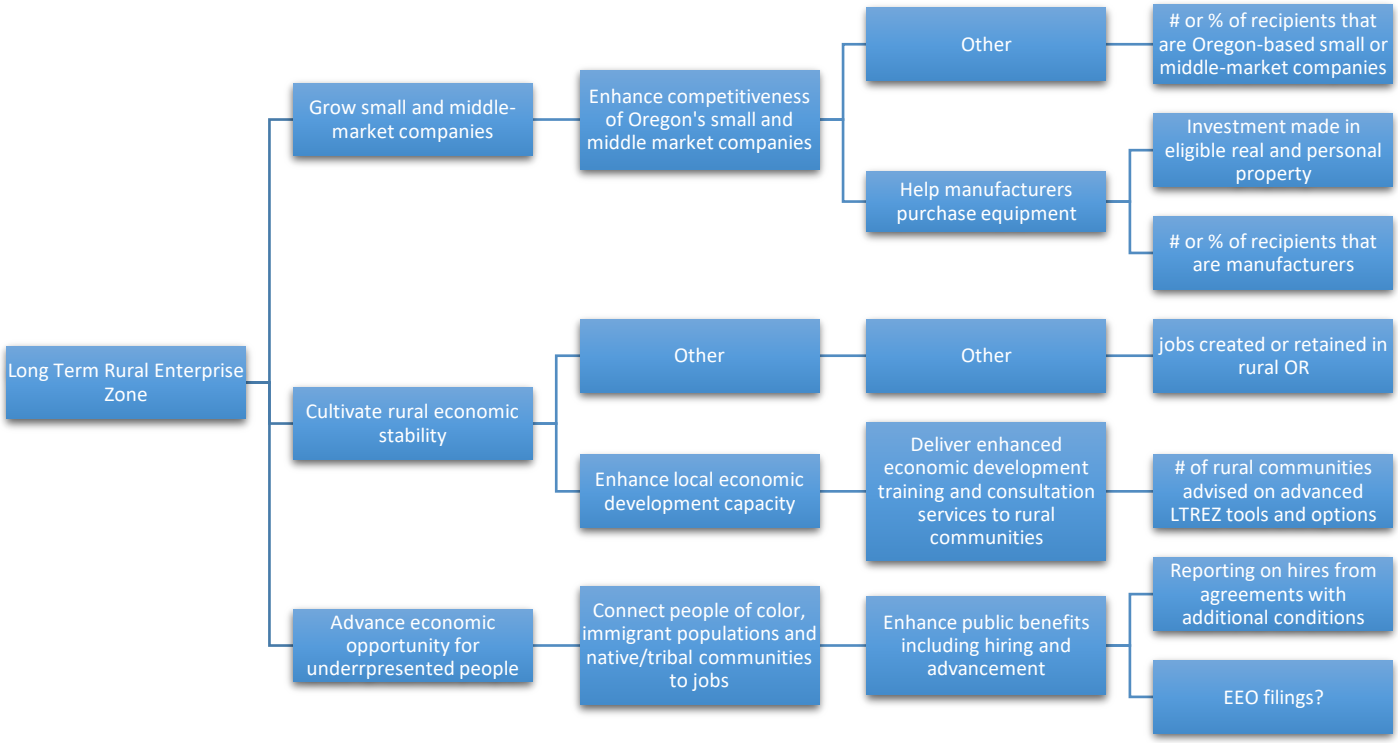
Zone communities “for which geography may act as an economic hindrance” experience greater economic success and well-being among their residents.

Businesses pay property taxes when the Zone agreement expires.

Alignment with Priorities from the Business Oregon Strategic Plan, 2018-2022

Innovate Oregon's Economy	**Grow Small and Middle-market Companies**	**Cultivate Rural Economic Stability**	**Advance Economic Opportunity for Underrepresented People**	**Ensure an Inclusive, Transparent and Fiscally Health Agency**
No	Possibly	Yes	Possibly	Partial
The LTREZ program does not help expand R&D capacity or increase access to capital for startups.	The LTREZ is primarily used by very large, companies headquartered outside of OR, though some recipients (such as Ft. George Brewing) may be considered middle-market Oregon businesses.	This incentive is only available in certain distressed, rural enterprise zones.	It is possible that the companies hire underrepresented people but there is no data to determine if this is the case.	There is good information available about the rules, use, costs and some benefits associated with the program. Date collection, however, is *ad hoc* and not suitable for publication. More information could be provided about how these facilities contribute to their communities.

Mapping to strategies and linkages to metrics



Gaps, Data Shortcomings and Opportunities for Improvement

- This incentive program lacks a specifically stated purpose in statute. The objective should be specified.
- Companies may be willing to share some facility-wide data on their workforce that could be combined and reported at an aggregated level to understand whether underrepresented people are participating in the opportunities these investments provide. However, any such data request would be voluntary, and companies may choose not to provide it. The potential value of the data would need to be weighed against the time and resources required to ask for, obtain, and manage the information.
- There are a small number of program participants, so case studies may provide one way to demonstrate how incentivized investments help cultivate rural economic stability over time.

Strategic Investment Program

Logic Model

The Need/Purpose

To improve employment in areas where projects by traded sector firms are located and to encourage hiring from within the region.

To induce large, capital-intensive facilities to locate and grow in Oregon.

Resources/Inputs

Property tax exemptions for 15 years for property exceeding (initially) $25, $50 or $100m in value.

$13.4 billion in taxable assessed value was exempted with a revenue impact of $212 million to the local communities (savings for the recipients) in 2018–19 [can update in about six weeks]. The estimated net cost is $415 million for the two years 2019-21. [3]

Outputs

There have been 25 total projects; 19 of them were active and received an exemption in 2019.

12,421 FTEs were created or retained with an average income of $134,000.

Intel is the only project in an urban area, but it accounts for 70% of the exempted value in the program, most of the negotiated payments, employment and wages.

Expected Benefits

Short-term

Private businesses make substantial investments in Oregon.

Community service fees equal to 25% of the savings from the tax exemption are paid to the community – up to a ceiling of $2.5m. CSFs were $9.5m in 2019.

Medium-term

Businesses receiving the exemption add well-paying jobs and have indirect effects on suppliers.

Businesses continue to pay other state and local taxes (including property tax on escalating initial taxable portion) and other local payments stipulated in the agreement. Some may receive other incentives.

Additional conditions may provide further benefits to the community. Businesses made $70 million in statutory community service fee and locally negotiated payments to counties in 2019.

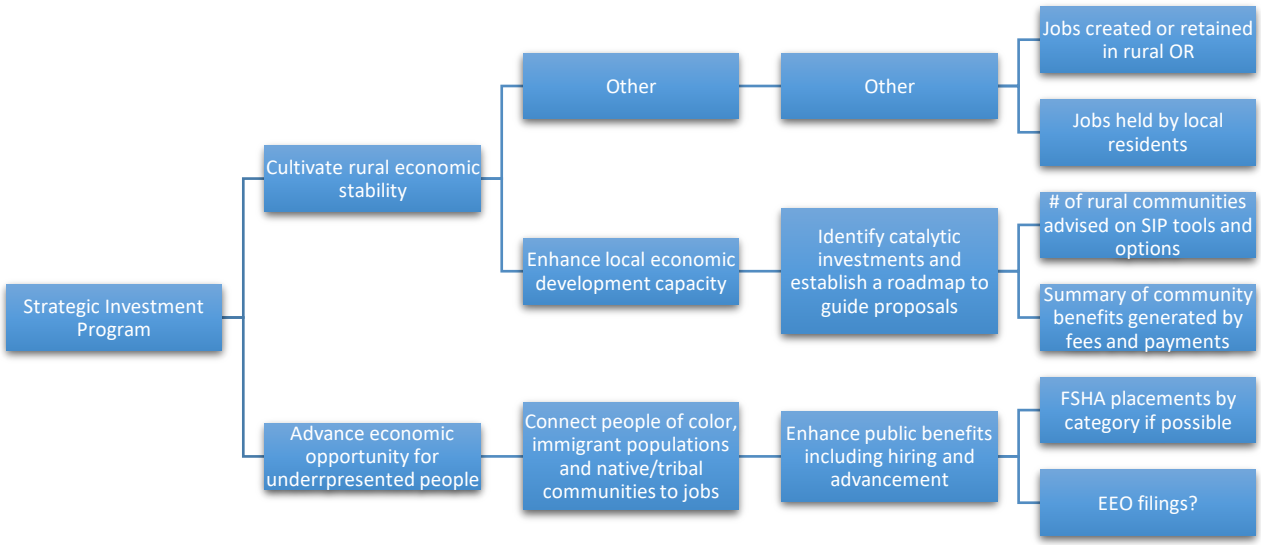
Long-term

Businesses pay full property taxes when the SIP agreement expires, and their investments and activities contribute to the Oregon economy.

Alignment with Priorities from the Business Oregon Strategic Plan, 2018-2022

Innovate Oregon's Economy	Grow Small and Middle-market Companies	Cultivate Rural Economic Stability	Advance Economic Opportunity for Underrepresented People	Ensure an Inclusive, Transparent and Fiscally Health Agency
No	No	Yes	Possibly	Yes
The SIP **program does not help expand R&D capacity or increase access to capital for startups.**	SIP is used by large companies making major investments.	This incentive is used primarily in rural areas where taxable portion is 50% or 75% less. Participating companies pay CSF, may pay additional negotiated fees, and create and sustain jobs to qualify for the exemption.	It is possible that the companies hire underrepresented people but there is no data to determine if this is the case.	There is good information available about the rules, use, costs and some benefits associated with the program.

Mapping to strategies and linkages to metrics



Gaps, Data Shortcomings and Opportunities for Improvement

- While program reporting provides transparency into incentivized activities, there may be an opportunity to deepen the understanding of how SIP projects contribute to Oregon's economy over time and support Business Oregon's priorities. For example:
    - Data do not appear to be available to indicate whether the legislative intent for eligible projects to hire employees for the region is achieved. The administrative rules provide an exhortation for applicants and local governments to promote gainful work for persons already residing in the region, but we are not aware of any documentation to this effect. That said, it seems highly likely the permanent jobs largely go to people living in the region.
    - Can additional information on the nature of locally collected fees or payments be gleaned from annual reports to demonstrate a connection to any strategic priorities? For example, the SIP flyer touts community benefits related to the local workforce and indirect effects on suppliers. Does this in fact happen? And can this information be connected to the priorities for innovation and growing small and middle market companies? To do so would require 1:1 outreach and inquiries to firms and counties. The cost of such an effort would need to be balanced with the value of the information to be obtained.
    - There are a small number of program participants, so case studies may provide one way to demonstrate how incentivized investments help cultivate rural economic stability and achieve the legislative objectives regarding employment and local hiring.

Oregon Investment Advantage

Logic Model

The Need/Purpose

Not specified in statute.

To help businesses that will not compete with existing Oregon businesses start or locate new facilities in select Oregon counties

To encourage business development in low income areas with high unemployment rates and low population.

Resources/Inputs

The incentive provides a reduction in business taxable income for up to 10 years.

The current cost of the incentive (value of the benefit to the company) is not exactly known, but the revenue impact was estimated to be $15,900 over two years in the 2019–2021 Tax Expenditure.

Outputs

Seven facilities received certification to use this incentive in FY2020, with 308 current year, full time facility jobs reported. Average compensation ranged from $40,525-$121,707.

Data covering current projects over time is available on the state's transparency portal. Data on proposed, completed, and not-used certifications are available.

Expected Benefits

Short-term

Private businesses establish new facilities in select rural counties.

Medium-term

Businesses with certified facilities receiving the incentive add at least 5 jobs with pay well above average per capita income levels for that county.

Businesses continue to pay other state and local taxes. Some may receive other incentives that reduce their property tax payments.

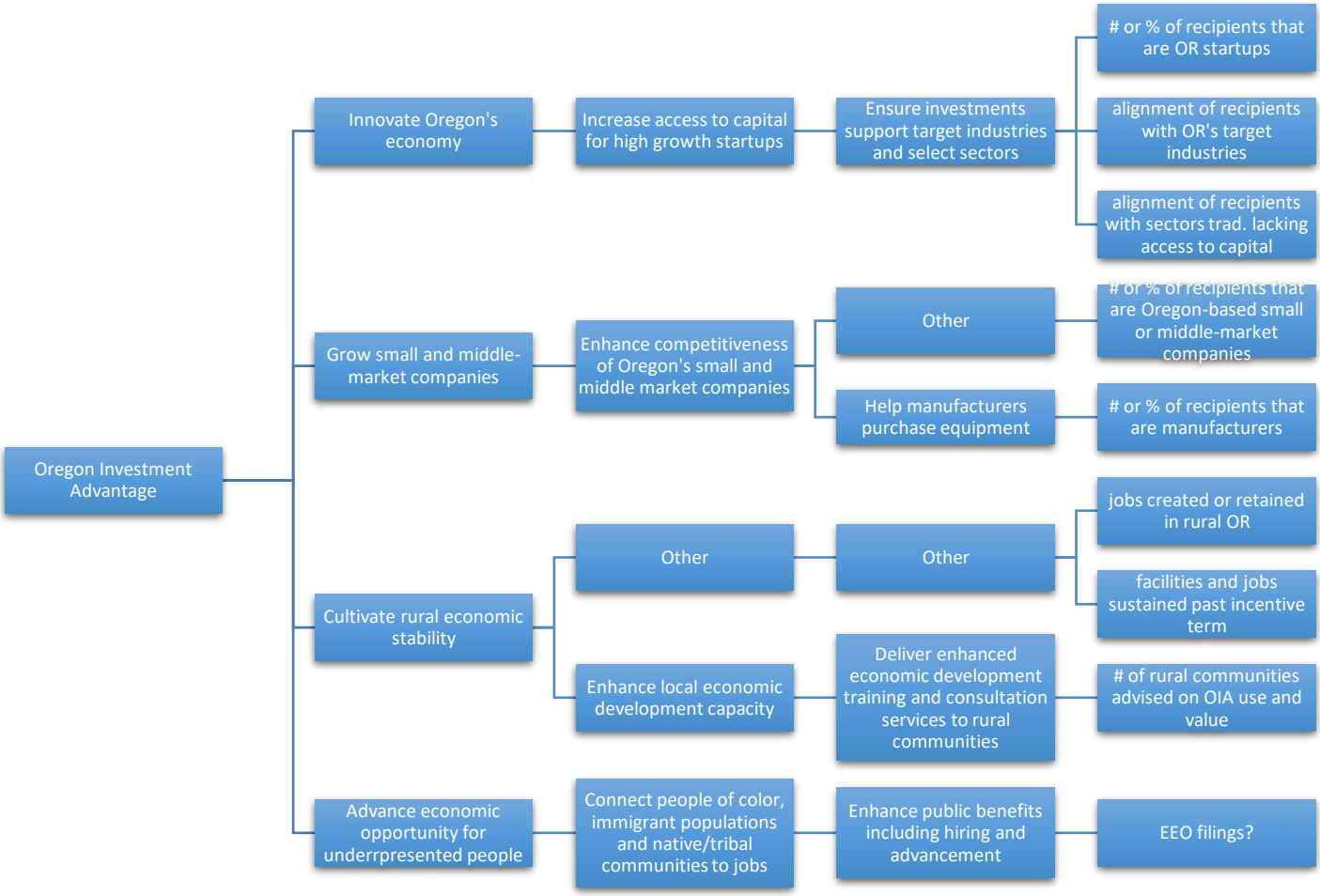
Long-term

Business facilities contribute to the economic well-being of low income/high unemployment rural counties during and beyond the 10 year tax holiday – primarily through employment.

Alignment with Priorities from the Business Oregon Strategic Plan, 2018-2022

Innovate Oregon's Economy	**Grow Small and Middle-market Companies**	**Cultivate Rural Economic Stability**	**Advance Economic Opportunity for Underrepresented People**	**Ensure an Inclusive, Transparent and Fiscally Health Agency**
Possibly	Possibly	Yes	Possibly	Partial
The intent to help "first of their kind" businesses that do not compete with existing Oregon businesses suggest the potential to support innovation and increase access to capital for startups, **but the program has not been used for this purpose to date.**	The intent to help growing, unique businesses combined with the low employment threshold and lack of investment threshold for eligibility suggest the potential to help grow small and middle market companies, but the program has not been used for this purpose to date.	This incentive is only available in certain rural counties based on economic measures.	It is possible that the companies hire underrepresented people but there is no data to determine if this is the case.	There is not always information on the cost of the incentive (value of the benefit to the company) when the number of taxpayers is too few to ensure mandatory confidentiality. Participants over time are listed with other output information at transparency web site.

Mapping to strategies and linkages to metrics



Gaps, Data Shortcomings and Opportunities for Improvement

- The requirement to wait to apply for annual certification 24 months after commencing operations is unusual. It does not appear that the delay serves an economic development purpose or creates any benefit for the state. Business Oregon has previously suggested eliminating the 24 month delay, but this proposal has not been adopted.
- Business Oregon has proposed other tweaks to improve the program's usefulness, including stabilizing the county eligibility definitions, resolving statutory confusion about the incentive term, simplifying employee pay criteria, and capping the total amount of exempt corporate income by year.
- Another proposed improvement has been to permit program use for smaller businesses in certain industries without geographic limit. Such an approach would align the OIA with the strategic priorities to support innovation and help grow Oregon small- and medium-sized businesses.
- There may be an opportunity to provide more transparency to address what happens after annual certification by OBDD, especially regarding the cost of the incentive. Income

tax returns are confidential, and reporting can be very complex. Nevertheless, steps can be taken to improve sharing of confidential information among agencies for evaluation purposes. However, it may require more time and effort than merited by the size of the program. Smart Incentives can provide more information on data sharing best practices if Business Oregon wishes to pursue this option.

- It may be possible to improve the program's impact or efficiency by studying what happened with the 28 firms that received approval but are marked "presumedly will never use."

Strategic Reserve Fund

Logic Model

The Need/Purpose

To support investments with significant long-term, regional or statewide economic impacts by creating, expanding and preserving traded sector industries and encouraging diversification and preservation of regional economies.

To support job retention and creation among firms in traded sectors and compete for projects with other states.

To support economic development and industry capacity building efforts.

Resources/Inputs

Capital to companies in the form of forgivable (if meet project agreement requirements) loans from the Governor's Strategic Reserve Fund, which is financed with lottery dollars.

The value of SRF awards 2016-20 is $12.8m across 70 projects. Approximately 30% are solely capacity building efforts, while the rest are jobs or combination projects. Awards range from $25,000-$500,000.

Approx. $9m is available for 2020-21.

Outputs

There were 46 open projects and 675 projects that have been closed out as of 2/4/20.

Approximately 6,000 total jobs were expected to be created, retained, or maintained for awards made 2016-2020. About 70% include a projected wage above the county average wage.

Project level jobs and wage data, information on public benefit elements, capacity enhancement projects and benefits, and data covering the lifetime of the program are tracked but not made publicly available.

Expected Benefits

Short-term

Companies and other economic development entities proceed with projects beneficial to Oregon because they receive upfront capital to do so.

Medium-term

New jobs or job preservation and higher incomes for Oregonians.

Improved utilization of existing Oregon resources.

Economic and community benefits.

Businesses continue to pay state and local taxes, including taxes on the forgivable loan. Some may receive other incentives that reduce their property tax payments.

Long-term

Positive regional or statewide economic impact (or other measures of "economic benefit") from funded projects.

Expansion or preservation of traded sector industries.

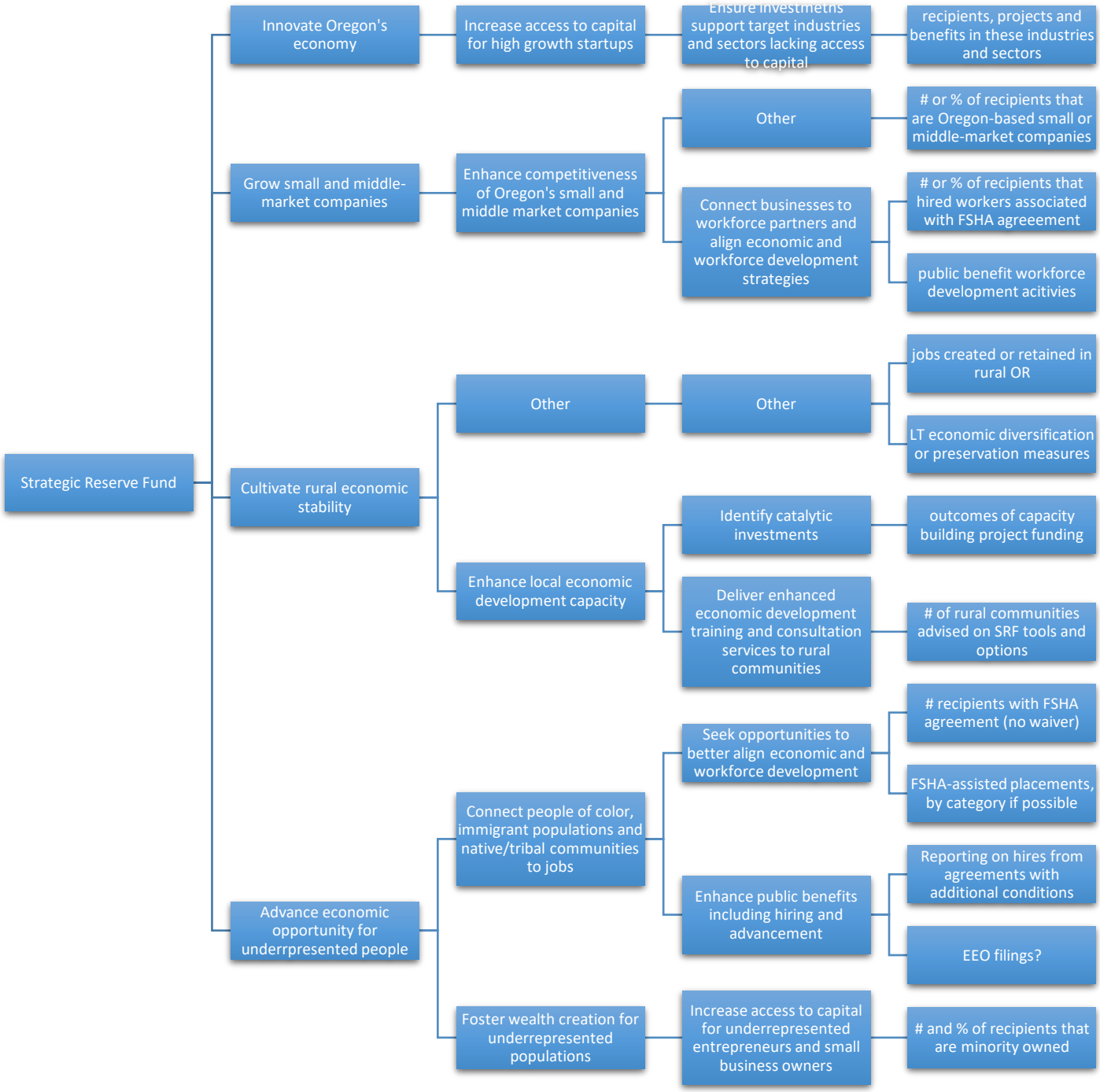
Diversification and preservation of regional economies.

Alignment with Priorities from the Business Oregon Strategic Plan, 2018-2022

Innovate Oregon's Economy	**Grow Small and Middle-market Companies**	**Cultivate Rural Economic Stability**	**Advance Economic Opportunity for Underrepresented People**	**Ensure an Inclusive, Transparent and Fiscally Health Agency**
Possibly*	Possibly*	Possibly	Possibly*	Partial
The program descriptions from the transparency website suggest some programs may increase access to capital for startups.	The program descriptions from the transparency website suggest some programs may support growing Oregon businesses.	The county designations from the transparency website suggest several projects are located in rural areas (47% per 2016 audit), but the effect on economic stability is not clear.	It appears that some public benefits agreements encourage such hiring opportunities, but data is not readily available to confirm or assess effectiveness.	Information is available on recipients, location, award amounts and project description, but no information on outcomes of interest, except in aggregate.

*Besides capacity building efforts aimed at this, it is certainly likely that awardees will fit the bill with these priorities.

Mapping to strategies and linkages to metrics



Gaps, Data Shortcomings and Opportunities for Improvement

- The SRF application and approval process may be streamlined to work more efficiently for Business Oregon and incentive applicants by removing snags, bottlenecks, redundancies that have accumulated as the program has aged and to provide more speed and clarity in the application review procedures. Such a review should strive to maintain the accountability measures that have been incorporated into the program over time.
- Business Oregon may consider expanding its public reporting for the SRF program so that both costs and benefits become clearer. It would be valuable to be able to state more definitively that SRF-funded projects support Business Oregon's strategic priorities, rather than suggesting that they might do so, but that we are not sure. More insight on the outcomes associated with the negotiated benefit agreements that are considered a critical element of program accountability would also be useful for understanding the full value of SRF-funded activities. As with the other incentive programs considered in this analysis, the time and resources needed to make more information available would need to be balanced with confidentiality requirements, staff capacity, and level of interest for additional information among stakeholders.
- The SRF statute and administrative rules indicate a broad economic development mandate, and the program's discretionary, forgivable loan structure make it a unique and potentially attractive option for a variety of business development initiatives. There may be an opportunity to deploy SRF in new ways to support Business Oregon's strategic priorities, especially regarding innovation, growth of small and medium enterprises, and rural economic stability. One option would be to convene a working group of partners within Business Oregon, local economic development partners and allies, and the Governor's office to assess the potential for using SRF for additional purposes.

Business Expansion Program

Logic Model

The Need/Purpose

To assist in the recruitment and retention of larger businesses in traded sectors in order to generate jobs with above average compensation.

Resources/Inputs

$9 million over 9 years in the form of forgivable (if meet project agreement requirements) loans from the Governor's Strategic Reserve Fund. Loans range from $400,000 - $1,830,400.

Outputs

10 projects over nine years, with 3 that remain open as of 2/4/20. The open projects are anticipated to create 538 jobs and maintain 557.

The 2016 audit reported $5.7m in investment by 6 awardees.

Expected Benefits

Short-term

Large businesses in traded sectors are attracted to or retained in Oregon.

Medium-term

New jobs or job preservation and higher incomes for Oregonians; jobs by category.

Businesses pay state and local taxes, including taxes on the forgivable loan. Some may receive other incentives.

Contracts with Oregon vendors.

New employee tax revenue.

Long-term

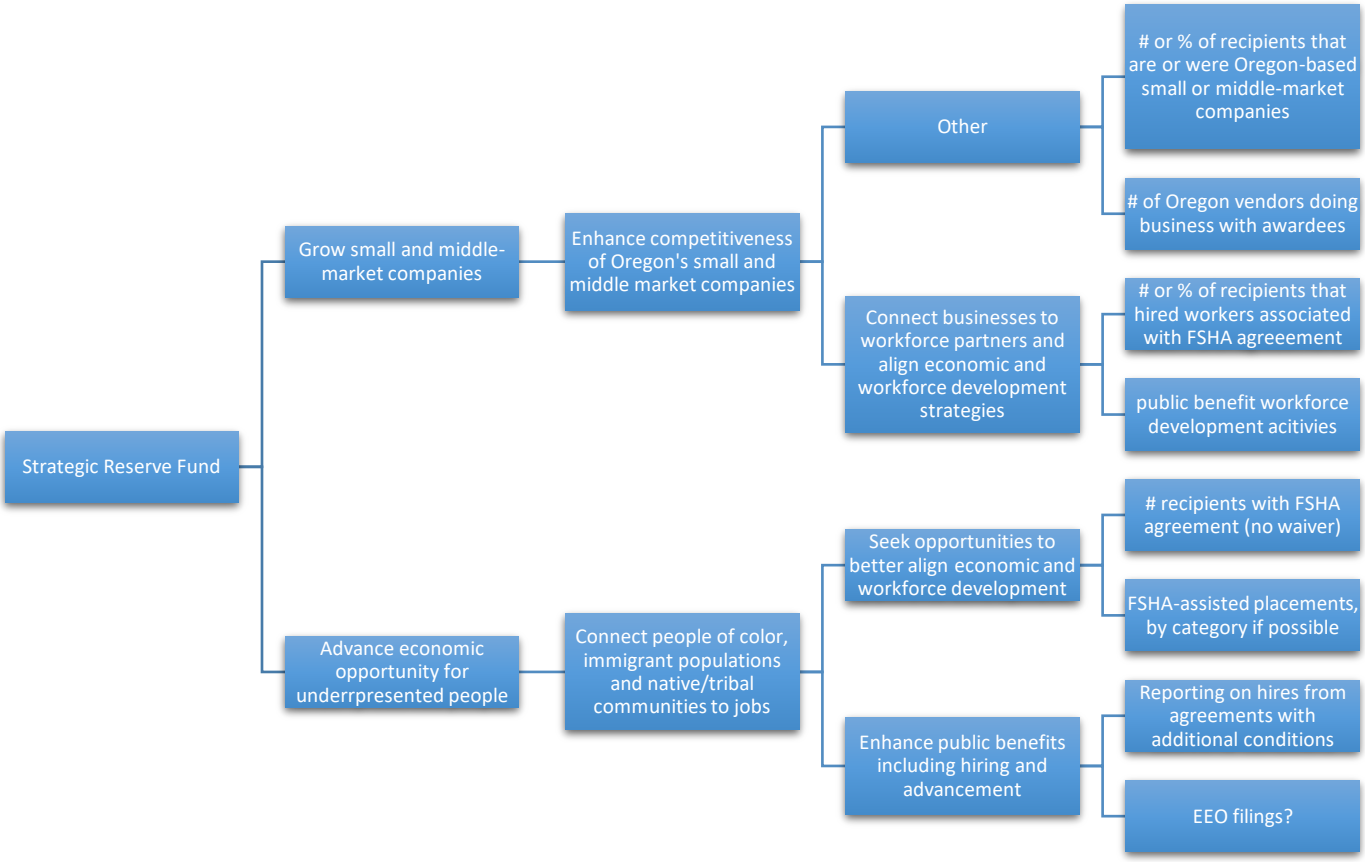
Expansion or preservation of traded sector industries.

Catalyst for additional economic development benefits.

Alignment with Priorities from the Business Oregon Strategic Plan, 2018-2022

Innovate Oregon's Economy	Grow Small and Middle-market Companies	Cultivate Rural Economic Stability	Advance Economic Opportunity for Underrepresented People	Ensure an Inclusive, Transparent and Fiscally Health Agency
No	Possibly	No	Possibly	Partial
The BEP does not help expand R&D capacity or increase access to capital for startups.	The program descriptions from the transparency website suggest some awards support growing Oregon businesses.	No BEP projects have been located in rural counties. Eligibility criteria are considered an impediment to rural projects.	It is possible that the companies hire underrepresented people but there is no data to determine if this is the case.	Information is available on recipients, location, award amounts and project description, but no public information on outcomes of interest.

Mapping to strategies and linkages to metrics



Gaps, Data Shortcomings and Opportunities for Improvement

Recommendations for SRF would also largely apply to BEP. Neither the program review nor interviews generated suggestions for changes specifically for BEP. The fact that the program was on hiatus at the start of this initiative combined with the small number of active projects likely accounts for the limited interest in making changes to this incentive program.

Appendix 3. Benchmark State Profiles

Colorado

Background

- Population (Census): 5,758, 736 (2019 estimate)
- Output (gross product, BEA): $394.27 billion (3Q2020)
- Top 5 industries as percent of total state GDP (BEA):
    - Real estate and rental and leasing: 17.4%
    - Professional, scientific, and technical services: 11.3%
    - Manufacturing: 8.0%
    - Information: 7.5%
    - Healthcare and social assistance: 7.1%

Major state and local taxes (Tax Foundation)

Corporate Income Tax Rate: 4.63%

Sales and Use Tax: 2.9% state, 4.75% average local for a total of 7.65%

Real Property Tax: Commercial and business property is assessed at 29% of actual value. Millage rates (dollars and cents of tax per $1,000 of assessed value) vary widely across the state; average real property tax cost is 0.60% of assessed value.

Personal Property Tax: Business personal property is subject to property tax and assessed at 29% of actual value. Tax rate is the same as for real property. Inventories and goods in transit are not subject to the tax.

Organizational Information

Lead economic development organization

Colorado Office of Economic Development and International Trade (OEDIT); public sector, located within the Governor's Office

Related players and oversight boards

Colorado Economic Development Commission: provides general oversight of OEDIT and approves incentive packages.

Staff levels

Approximately 75 staff; 35 in economic development activities, balance in film, outdoor recreation, and tourism.

State economic development program expenditures

Overall OEDIT FY20 budget is $78.77 million.

Economic development activities

Mission and strategic objectives

Mission: To achieve and sustain a healthy Colorado economy that works for everyone and protects what makes Colorado the best state in the country to live, work, start a business, raise a family, and retire. By growing our economy with jobs that cannot be outsourced and infrastructure to enable entrepreneurship in all parts of the state, we strive to grow a resilient economy where everyone not only gets by, but thrives.

Vision: OEDIT's vision to economic recovery and resilience includes three key phases: Innovate, Adapt and Thrive.

1. Innovate: We will foster business innovation in a way that maximizes the Governor's Bold 4 Initiatives and positions Colorado to accelerate opportunities unique to the post COVID environment in the areas of remote work and in the advanced industries, including bioscience, high tech and advanced manufacturing.

2. Adapt: The current economic downturn has created an immediate and long-term need to develop forward- looking plans that will help communities adapt to changing market conditions in response to future economic disruptions.

3. Thrive: The workforce of Colorado's future will be more nimble, better prepared for economic disruptions, and will be a model for enhanced inclusion, social equity, with a clear business case for protecting the environment.

Innovation

Advanced Industry Accelerator Grant Program: funds Proof of Concept research grants (34 funded FY20, $2.83 million); Early Stage Capital and Retention Grants (follow-on to POC grant to support product commercialization, 46 grants funded FY20, $10.54 million); Collaborative Infrastructure Grants, funds implementation and execution of action items identified in Advanced Industry Strategic Plans, as developed through the Colorado Blueprint Key Industry Network initiatives in 2013 (5 grants funded FY20, $1.72 million); and Advanced Industry Export Accelerator grants (export assistance for companies in advanced industries, 19 grants funded FY20, $121,621).

Small and middle market companies

The Small Manufacturer's Advantage (SMA) continues to provide support to small manufacturers across Colorado by leveraging the coordination of key strategic organizations such as Manufacturer's Edge, SBDC, Colorado Office of Economic Development and International Trade (OEDIT), the World Trade Center (WTC) and the Procurement Technical Assistance Center (PTAC). The result is a unique and powerful synthesis of expertise and resources designed to help Colorado manufacturers succeed across all stages of the organizational life cycle.

Rural economy

The Rural Technical Assistance Program (RTAP), formerly known as Colorado Blueprint 2.0, provides free technical assistance, consulting, and funding to help rural communities create economic development strategies.

Employee Ownership Network (EON) seeks to keep rural firms facing a generational shift in ownership (i.e., owner retiring) from relocating under new ownership or shutting down due to lack of a buyer. EON is supported by a $3 million revolving loan fund that makes loan up to $10,000 to assist with legal, accounting, and business advisory costs associated with transitioning to 100% employee ownership. Firm revenues must be less than $5 million to access the RLF.

The Colorado Rural Jump-Start Zone program provides tax relief to businesses and employees of these businesses that are located in designated economically distressed areas of rural Colorado. 14 companies are participating in the Rural Jump-Start Zone program as of June 30, 2020, and 16 counties have formed Rural Jump-Start zones, and 24 more counties were eligible to form zones but have not done so. The program is only open to newly created businesses that do compete with an existing business in that Rural Jump-Start Zone. Participating firms receive relief from all state and local business taxes for a four year period.

Opportunities for underrepresented people

The Minority Business Office (MBO) is dedicated to advancing the efforts of Colorado's minority, women, and veteran-owned businesses. MBO is dedicated to helping businesses understand the myriad of certifications available as a minority, veteran or woman-owned business. Businesses learn how to best market themselves as a certified business and secure government contracts. In 2020 MBO assisted 113 businesses, with 42 attaining MBE certification and winning $167.4 million in contract awards.

Transparency

Both OEDIT and the Colorado Economic Development Commission are required by statute to compile detailed annual reports.

Target Industries

- Advanced Manufacturing
- Aerospace
- Bioscience
- Creative Industries
- Defense & Homeland Security
- Electronics; Energy & Natural Resources
- Financial Services
- Food & Agriculture
- Health & Wellness
- Infrastructure Engineering
- Technology & Information

- Tourism
- Outdoor Recreation
- Transportation & Logistics

Incentives

Strategic Fund Job Growth Incentive

- Basic benefit for business firms: Performance-based cash grant for competitive projects with significant job creation. Cash payments range from $3,000 – 6,500 per new job created, for a negotiated period of up to five years.
- Geography: statewide, however larger per job created awards possible in economically disadvantaged counties.
- Business eligibility: no quantitative requirement beyond 1:1 required local match; project must be multi-state and/or internationally competitive, entail significant capital investment, and create permanent, net new full-time jobs. A company may receive either the Strategic Fund Job Growth Incentive or the Job Growth Incentive Tax Credit for any group of new jobs, not both.
- Minimum employment requirement: none.
- Employee compensation requirement: jobs must pay at least 100% of average county wage.
- Local hiring or workforce cooperation requirement: none.
- Local government role: must provide 1:1 match and must be done in a manner that is not commonly offered to all businesses in the jurisdiction. Common forms are cash, sales or property tax abatement, reduction in permitting fees. Private contributions acting on behalf of the local government are acceptable.
- Use/Outcomes reported: The Economic Development Commission (EDC) approved six new Strategic Fund projects in FY20, with anticipated job total job creation of 971. Total Strategic Fund commitment to the six projects was $2,335,500 ($2,405/job). The EDC also made payment to six projects in FY20, based upon verified hiring per the company's incentive agreement; 439 new jobs were verified, with the companies collectively receiving $858,500 ($1,956/job).
- Business may not commit to property, hire employees to be included in the incentive reimbursement, or announce the project prior to incentives agreement being approved by EDC.
- Sources: OEDIT Annual Report 2020, chosecolorado.com

Job Growth Incentive Tax Credit

- Basic benefit for business firms: Tax credit of 50% of annual FICA withholding for each eligible new job created; credit may be taken against any state-level CO business tax. Projects investing at least $100 million are eligible to have tax credits approved to be transferable for cash; approval must be received from EDC prior to project commencing.
- Geography: statewide
- Business eligibility: maintain net new jobs for at least one year; project must be multi-state and/or internationally competitive; be "reasonably and efficiently" able to locate outside CO and have reduced chance of locating in CO without the incentive.
- Minimum employment requirement: 20 new jobs.
- Employee compensation requirement: minimum 100% of average county wage.

- Local hiring or workforce cooperation requirement: None.
- Local government role: None.
- Use/Outcomes reported: EDC approved 26 new projects in FY19, with $131,736,808 in prospective tax credits approved for 8,955 new jobs ($14,711 average per job). The EDC approved in FY20 48 prior year projects being in compliance and awarded tax credits of $26,684,052 for 7,850 new jobs created ($3,399 average per job).
- Credits awarded for an eight year period, and may be carried forward for up 10 years from date of initial award. Credits must be used as soon as possible, i.e., as soon as the business has adequate tax liability to offset.
- Business may not commit to property, hire employees to be included in the incentive reimbursement, or announce the project prior to incentives agreement being approved by EDC.
- Sources: OEDIT Annual Report 2020, chosecolorado.com

Location Neutral Employment Incentive (LONE)

- Basic benefit for business firms: additional cash payment of up to $5,000 per new job created for projects approved for Strategic Fund Job Growth Incentive or Job Growth Incentive Tax Credit, and locating in a rural county or Indian reservation. Cash payment is for five years.
- Geography: rural county or Indian reservation.
- Business eligibility: approved for Job Growth Incentive or Tax Credit.
- Minimum employment requirement: none.
- Employee compensation requirement: at least 100% of average county wage.
- Local hiring or workforce cooperation requirement: employees must either be permanently located in the rural county or reservation, or be remote workers that will work from this location at least three days/week.
- Local government role: none.
- Use/Outcomes reported: In FY 2020, the EDC approved two (2) LONE grants for a total of $1.37M, representing 226 full-time permanent jobs in remote rural Colorado.
- Sources: OEDIT Annual Report 2020, chosecolorado.com

Advanced Industries Investment Tax Credit

- Basic benefit for business firms: state personal income tax credit of 25% of investment in qualifying CO company of up $50,000, based on a minimum investment of $200,000. Multiple investors in the same company may claim the credit.
- Geography: statewide
- Business eligibility: businesses in CO advance industries that have raised less than $10 million, have less than $5 million in annual revenues, and been in existence for less than five years, and are raising new capital from investors.
- Minimum employment requirement: headquarters must be in CO or at least 50% of employees in CO.
- Employee compensation requirement: none
- Local hiring or workforce cooperation requirement: none
- Local government role: none

- Use/Outcomes reported: $750,000 available annually on a first-come, first-served basis. In fiscal year 2020 the program had 87 qualified businesses eligible for investment. Of these, 19 businesses received investments totaling over $2.9 million. The program accommodated 49 investments which tapped out the tax credits available before the end of April. More than half of the dollars invested went to businesses in the Information Technology sector.
- Program sunsets at end of FY22 unless extended by CO Legislature.
- Sources: OEDIT Annual Report 2020, chosecolorado.com

Workforce Training: Skill Advance Colorado Job Training Grant

Provides up to $1,400/year for training assistance for new employees of an expanding or relocation company, and up to $1,200/year for existing employees to be trained. Company may apply for up to $150,000 per project, with total assistance per company capped at $200,000 per year. Minimum 40% cash or in-kind match required; positions must pay at least $13.00/hour in urban counties and minimum wage in rural ones. Program jointly administered by OEDIT and Colorado Community College System; training awards managed by individual community colleges.

Idaho

Background

- Population (Census): 1,787,065 (2019 estimate)
- Output (gross product, BEA): $85.55 billion (Annual as of 3Q2020)
- Top 5 industries as percent of total state GDP (BEA)
    - Real estate and rental and leasing: 15.8%
    - Manufacturing; 12.8%
    - Health care and social assistance: 9.5%
    - Retail Trade: 9.2%
    - Construction: 8.1%

Major state and local taxes (Tax Foundation)

Corporate Income Tax: rate is 6.925%

Sales and Use Tax: state rate is 6.0%; several cities have small local add-ons averaging 0.03% for a total rate of 6.03%

Real Property Tax: assessed at full market value. Rates determined by each county and are higher in urban areas than rural areas. Average 2020 rates are 1.129% of full market value in urban areas and 0.798% in rural areas.

Business Personal Property Tax: Taxed at same rate as real property. First $100,000 in value of each firm's personal property is exempt from taxation; per Idaho Commerce more than 90% of businesses in the state do not pay personal property tax.

Organizational Information

Lead economic development organization

Idaho Department of Commerce – Public Sector, state executive branch department

Related players and oversight boards

Advisory Council composed of seven regional private sector representatives from around the state, plus one at-large representative. Idaho Broadband Task Force established in May 2019 to improve connectivity and broad band infrastructure across the state.

Staff levels

43 full time positions, with 2020 budgeted personnel costs of $3.85 million (2020 Idaho Legislative Budget). Five full time positions each allotted to business attraction, business retention & expansion, and international trade units.

State economic development program expenditures

Total 2020 Commerce Department budget is $42.42 million.

Economic development activities

Mission and strategic objectives

As the lead economic development agency for the State of Idaho, the mission of Idaho Commerce is to foster a business-friendly environment to aid in quality job creation, support existing companies, strengthen communities, promote innovation and market Idaho domestically and internationally.

The strategic priorities of the Department are:

- Support Existing Businesses
- Strategic Business Attraction
- Support Rural Idaho
- Promote Good Trade Policy
- Market and Promote Idaho
- Advance Technology Ecosystem & Increase Broadband Connectivity
- Utilize Responsible Incentives

Innovation

Idaho Global Entrepreneurial Mission (IGEM) – IGEM is a three- prong program that invests public funds in advanced university research, capacity building and commercialization initiatives to further economic development efforts across the state. By connecting Idaho businesses with university research capabilities, IGEM is helping to develop new products, grow companies and attract investment, while elevating research capacities at Idaho's universities. The IGEM-Commerce program receives $1 million annually for commercialization grants, and has funded 36 projects, providing $7.7 million over its eight years in existence. Idaho has 5% research tax credit.

Small and middle market companies

Idaho Commerce does not heavily emphasize small and middle market companies in its presentation of services, but several of the incentive and finance programs would be accessible to small and mid-sized businesses. All businesses are eligible for a 3% investment tax credit on all new tangible personal property (machinery and equipment) and a personal property tax exemption on the first $100,000 of personal property.

Rural economy

The Rural Economic Development Program was created to support economic development projects in rural communities. The program awards grants, used in conjunction with local funding, to hire full-time economic development professionals. These experts are managed by a local board of directors and work on initiatives including business retention, expansion, export assistance, tourism, and entrepreneurial development. This State-funded grant is a component of the Idaho Rural Initiative. 18 professionals funded in FY 2020 at annual rates ranging from $17,500 to $30,000; total program budget was $500,000. 30 of Idaho's 44 countries are eligible for this program; some of the 18 economic development professionals cover only one county, while other cover a multi-county area.

Opportunities for underrepresented people

None found

Transparency

Idaho's Division of Financial Management requires that annual Performance Reports be filed with each state agencies annual budget request. The Commerce Department's most recent Performance Report is at: https://dfm.idaho.gov/publications/exec/budget/fy2022/perf-rpt/economic-development/commerce_department-of.pdf.

Target industries

- Advanced Manufacturing
- Aerospace
- Technology & Innovation
- Food Production
- Outdoor Recreation
- Back Office/Shared Services
- Tourism
- Energy

Incentives

Idaho Opportunity Fund

- Basic benefit for business firms: The IOF services as a "deal closing fund" to strengthen Idaho's competitive ability to support expansion of existing Idaho businesses and recruit new companies to the state, ultimately creating new jobs and economic growth in Idaho.
- Geography: statewide
- Business eligibility: Discretion of Commerce Director
- Minimum employment requirement: none noted
- Employee compensation requirement: none noted
- Local hiring or workforce cooperation requirement: none noted
- Local government role: none noted
- Use/Outcomes reported: Last funded at $2,000,000 in FY 2018 budget; no recent awards found.
- Sources: commerce.idaho.gov; dfm.idaho.gov

Idaho Tax Reimbursement Incentive

- Basic benefit for business firms: Post-performance tool that enables qualifying companies to receive a refundable tax credit of up to 30% on all state income, payroll, and sales taxes generated for up to 15 years. Unused tax credits cannot be sold or otherwise monetized.
- Geography: statewide

- Business eligibility: any company expanding in Idaho – can be existing or newly recruited.
- Minimum employment requirement: 20 jobs created in rural areas, 50 in urban centers
- Employee compensation requirement: Equal to or greater than average county wage in county where project is located; positions must be at least 30 hours/week.
- Local hiring or workforce cooperation requirement: none noted
- Local government role: Local community must demonstrate a "meaningful match," specifics are not defined.
- Use/Outcomes reported: 12 projects approved for TRI in FY 2020; 7 urban/5 rural, 7 expansion/5 attraction. Across the 12 projects, anticipated job creation of 1,717, generating average annual wage of $54,289, $558.1 million in capital investment, and $263.8 in new state tax revenue over life of the projects. Incentive agreements average 10 years in length, with average tax credit of 22%, yielding an estimated total of $34.2 million in tax refunds.
- Firm must certify in writing that the assistance is "critical factor" in choosing to do the project in Idaho. Commerce Department internal controls in evaluating projects are audited annually by an outside CPA firm and certified that the controls comport with the Idaho Reimbursement Incentive Act of 2014.
- Sources: commerce.idaho.gov, www.blsstrategies.com

Idaho Business Advantage

- Basic benefit for business firms: Enhanced incentive package for large projects – 3.75% tax credit on personal property, 25% sales tax rebate on construction materials, 2.5% real property tax credit, new job tax credit of $1,500 - $3,000/job depending on average wage.
- Geography: statewide
- Business eligibility: Invest a minimum of $500,000
- Minimum employment requirement: 10 new jobs
- Employee compensation requirement: minimum of $40,000 with benefits package
- Local hiring or workforce cooperation requirement: none
- Local government role: County commissioners may approve up to 100% real and personal property tax exemption for five years.
- Use/Outcomes reported: no data found
- Various provisions of this incentive program overlap (e.g., county commissioners can approve 100% property tax exemption for first five years, which would negate value of state-level credits).
- Sources: commerce.idaho.gov, clearwatercounty.org

Local Option Property Tax Exemption

- Basic benefit for business firms: For manufacturing plant expansions, real and personal property tax exemption for up to five years on value added by the expansion.
- Geography: statewide; incentive must be enacted by Board of County Commissioners.

- Business eligibility: county commissioners must set by ordinance the minimum investment threshold to qualify for exemption; per state statute the threshold must be at least $500,000. Once threshold is established it may not be changed on a per-project basis.
- Business must present exemption request as a "defined project," with a written plan that defines the project site and project time frame.
- Minimum employment requirement: none
- Employee compensation requirement: none
- Local hiring or workforce cooperation requirement: none
- Local government role: county commissioners may grant up to a five year tax exemption (negotiable); must be approved in a public meeting.
- Use/Outcomes reported: no reporting found.
- Sources: 63-602NN Idaho Statutes

Workforce Training: Workforce Development Training Fund

Funded by diverting 3% of state's unemployment insurance taxes, yielding approximately $3.6 million annually; unobligated fund balance was $8.9 million at end of FY20. Majority of funds are used for grants to educational institutions, and consortiums of businesses and institutions, for ongoing training needs, vs. being used as an incentive on competitive projects. Three new employer grants were awarded in FY20, totaling $62,250.

Minnesota

Background

- Population (Census): 5,639,632 (2019 estimate)
- Output (gross product, BEA): $379.39 billion (3Q2020)
- Top 5 industries as percent of total state GDP (BEA)
    - Manufacturing: 15.1%
    - Real estate and rental and leasing: 12.7%
    - Health care and social assistance: 10.8%
    - Finance and insurance: 10.6%
    - Wholesale trade: 7.8%

Major state and local taxes (Tax Foundation)

Corporate Income Tax Rate: 9.8%

Sales Tax: State rate 6.875%, average local rate 0.58% for a total of 7.46%

Real Property Tax: Minnesota has an extremely complicated system for determining a property's annual property tax. First, the property's market value is multiplied by the "class rate" to determine its "tax capacity" for that year. Importantly, the system discriminates against commercial and industrial property as the class rates for residential property are 1.0% up to $500,000 in market value, and 1.25% over $500,000; by comparison, the class rates for commercial and industrial are 1.5% for the first $150,000 in market value, and 2.0% over $150,000.

Once the tax capacity is determined by the calculation above, state and local levy rates are applied to determine the ultimate property tax bill. Thus, while Minnesota ranks only 21st per Tax Foundation for state and local property tax collections, with an average per capita collection of $1,599, the business levy is likely to rank much higher.

Business Personal Property Tax: None

Organizational Information

Lead economic development organization

Minnesota Department of Employment and Economic Development (DEED) -- public sector, cabinet-level state department

Related players and oversight boards

No direct oversight board found; contracting activities subject to audit by Minnesota Department of Administration.

Staff levels

Approximately 700, per 2/4/2021 Minneapolis/St. Paul Business Journal Article on DEED relocating its offices within downtown St. Paul. FY20-21 biennium budget indicates that 18% of overall DEED expenditures are for Business & Community Development; if staffing tracks this it would yield about 125 FTEs in economic development-type activities. Note that DEED administers the MN unemployment insurance system, which consumes the largest portion of its budget.

State economic development program expenditures

State economic development program expenditures: Overall DEED budget for FY20-21 biennium is $108.77 million ($54.39 million annually); at 18% Busines and Community Development is $19.58 million ($9.79 million annually).

Economic development activities

Mission and strategic objectives

Mission: To empower the growth of the Minnesota economy, for everyone.

Values:

- Focus on the customer
- Communicate early and often
- Seek solutions
- Create inclusion
- Encourage new ideas
- Be gracious

Innovation

Launch Minnesota initiative was begun in October 2019 and focuses on increasing capital availability for start-ups and building a statewide innovation ecosystem. The initiative seeks to leverage MN's status as the top per capita Fortune 500 headquarters location in the U.S., 14th rank for SBIT/STTR awards, and high levels of patent issuance (1st in medical device, 3rd in health, 5th in agriculture). Awarded $2 million across 84 Innovation Grants and issued $9.8 million in Angel Tax Credits to 72 start-ups during first year of operation. Additionally, provided $450,000 to stand up Launch MN network, with seven innovation hubs across the state.

Small and middle market companies

None noted beyond typical SBDC-type services.

Rural economy

Border to Border broadband program provides grants to underserved communities to achieve statewide highspeed access (minimum 25Mbps download by 3 Mbps upload by 2022, and

100Mbps download by 20Mbps upload by 2026). Program is funded at $20 million in both FY 20 and 21.

Opportunities for underrepresented people

DEED Goals:

- Increase the average starting wage for people of color who DEED helps place in jobs by $2/hour.
- Create a unique "Equity goal" for every single program across DEED, focused on reducing disparities based on either 1) race, 2) ability level, or 3) geography.

Transparency

DEED is required by state statute to produce approximately 45 annual reports; most are programmatic in nature, while some cover only a specific project or one-time appropriation.

Target industries

No formal list of target industries (only state researched that lacks this). DEED website notes "Top Sectors," which include: medical devices, aerospace & semiconductors, farm & agriculture machinery, biopharmaceuticals, information technology & data centers, food production & processing, banking & insurance, and clean energy (including water technology).

Incentives

MN Job Creation Fund

- Basic benefit for business firms: Performance-based grant that provides $1,000 – 3,000 per job created in Twin Cities metro and $2,000 – 4,000 per job created in balance of state or if business is 51% minority/women/disabled veteran owned (targeted population). Also can provide up to a 5% rebate for cost of real property improvements in Twin Cities metro, and 7.5% in balance of state.
- Geography: statewide
- Business eligibility: Businesses engaged in manufacturing, warehousing, distribution, and technology-related industries. Must provide but-for certification and cause no harm to MN business competitors.
- Minimum employment requirement: 10 new full-time within two years; five jobs if ownership is within targeted populations.
- Employee compensation requirement: Minimum hourly wage of $13.86; annually adjusted based on 110% of federal poverty guidelines. If more than $200,000 in Job Creation Fund assistance is awarded, must pay prevailing wage.
- Local hiring or workforce cooperation requirement: none
- Local government role: Must co-submit application with company via council resolution.
- Use/Outcomes reported: 12 projects approved in FY20, with total awards of $3,937,000. Over life of program (2014 – present), 50 completed projects, with total payments of $21.53 million, which supported 2,665 new jobs and $266.4 million in capital investment.

- Sources: https://mn.gov/deed/business/financing-business/deed-programs/mn-jcf/

Greater MN Job Expansion Program

- Basic benefit for business firms: Purchases and use of tangible personal property and taxable services made by a qualified business are eligible for a sales tax refund. The purchase must be made, and the property or service must be delivered, during the business' certification period (typically seven years from DEED certifying the project). Businesses outside the Twin Cities metro area are also eligible for a refund of sales tax on construction material used in the project; the refund may be claimed regardless of whether the business or a contractor purchases the materials.
- Geography: statewide
- Business eligibility: Must primarily sell goods or service outside Minnesota, i.e., be a traded business. Retail, hospitality & leisure, and most business services activities not eligible.
- Minimum employment requirement: Increase employment at the business's facility by a minimum of two full time equivalent (FTE) employees or 10% of the current number of employees, whichever is greater, within three years.
- Employee compensation requirement: pay compensation, which includes wages and benefits not mandated by law, which on an annualized basis equals at least 120% of the federal poverty level for a family of four, to all employees at the business' facility. For 2021, these amounts are $31,800 per year or $15.29 per hour.
- Local hiring or workforce cooperation requirement: none
- Local government role: must send copy application to city clerk, or county auditor if facility is on unincorporated land.
- Use/Outcomes reported: maximum of $7 million in refunds statewide available annually.
- Must participate in DEED Public Subsidy hearing if anticipated award is greater than $500,000.

Minnesota Investment Fund

- Basic benefit for business firms: loans to local governments to assist industrial, manufacturing and related businesses with expansions.
- Geography: statewide
- Business eligibility: overall project costs must be at least 51% privately funded (most successful applicants >70% private), must provide but-for certification, must not cause undue harm to MN business competitors.
- Minimum employment requirement: none
- Employee compensation requirement: projects receiving loans greater than $500,000 must pay prevailing wage.
- Local hiring or workforce cooperation requirement: none
- Local government role: must approve resolution of support and enter into loan agreement.
- Use/Outcomes reported: 15 loans approved in FY20 totaling $6,825,000. Projected 886 new jobs created at an average wage of $23.21, leveraging

$163.25 million in private investment. Since 2014, 74 loans approved for $35.35 million, leveraging $1.22 billion in private investment and 4,173 jobs.

- Sources: https://mn.gov/deed/business/financing-business/deed-programs/mif/

Angel Tax Credit

- Basic benefit for business firms: enhances capital availability for qualifying small high tech businesses by providing a refundable 25% tax credit to qualified individual investors and investment funds.
- Geography: statewide
- Business eligibility: headquartered in MN; at least 51% of employees, payroll and assets in MN; not in operation for more than 10 years (20 if product will require FDA approval); have not received prior private investment of more than $4 million; may not be publicly traded and may not become publicly traded within 180 days of tax credit award.
- Minimum employment requirement: none; may not have more than 25 employees.
- Employee compensation requirement: pay at least 175% of poverty level for family of four ($22.30/hour in 2021), exclusive of executives, officers, and 20% or more owners.
- Local hiring or workforce cooperation requirement: none
- Local government role: none
- Use/Outcomes reported: $10.2 million in credits available in CY 2021, $5.2 million for general use, and $5.0 million reserved for investments made in businesses 51% or more owned and managed by minorities or women or headquartered outside Twin Cities metro area ("reserved credits"). Any reserved credits remaining on 10/1/2021 become available for any qualifying business.
- In FY19, $9,774,038 in credits were awarded, which leveraged $39,875,431 in new investment in 72 businesses.
- Sources: https://mn.gov/deed/business/financing-business/tax-credits/angel-tax-credit/

Workforce Training: None found

No state-funded workforce training programs were found; programs listed on DEED's website are the federal WOTC tax credit and a $5 million federally funded apprenticeship demonstration program from 2016.

Nevada

Background

- Population (Census): 3,080,156 (2019 estimate)
- Output (gross product, BEA): $175.51 billion (3Q2020)
- Top 5 industries as percent of total state GDP (BEA)
    - Real estate and rental and leasing: 17.9%
    - Accommodation and food services: 13.2%
    - Retail trade: 8.4%
    - Health care and social assistance: 7.1%
    - Finance and insurance: 6.4%

Major state and local taxes (Tax Foundation)

Corporate Income Tax: None

Sales and Use Tax: State rate is 6.85%; average local rate is 1.38% for a total of 8.23%. Local add-on tax capped at 1.53%.

Modified Business Tax (MBT): Tax on a company's gross payroll. Rate is 1.475% of gross wages, with the first $50,000 of gross payroll per quarter exempt; financial institutions are taxed at a higher rate of 2.0%. For businesses also subject to the Commerce Tax, 50% of Commerce Tax payment may be deducted from MBT liability.

Commerce Tax: Gross receipts tax imposed on businesses with more than $4 million in gross receipts annually. Rates are by industry group and range from .051% to .331%.

Real Property Tax: Property is assessed at 35% of fair market value; 2020 rates average 3.1878% (3.0969 in Clark County – Las Vegas, and 3.6377% in Washoe County – Reno).

Business Personal Property Tax: Taxed at same rate as real property.

Organizational Information

Lead economic development organization

Nevada Governor's Office of Economic Development (GOED) – resides within the Office of the Governor and is created by state statute.

Related players and oversight boards

GOED is overseen by the Nevada Board of Economic Development, a board created by state statute. There are nine voting members: Governor, Lieutenant Governor, Secretary of State, plus six private sector members, three appointed by Governor, and one each by Speaker of Nevada Assembly, Majority Leader of Nevada Senate, and Minority Leaders of Assembly and Senate (alternates). Members serve four year terms. Non-voting members are Chancellor of

the Nevada System of Higher Education or his or her designee, and the Director of the Department of Employment, Training and Rehabilitation.

Staff levels

38 positions, including three PTAC staff and five Nevada Film Office staff.

State economic development program expenditures

Proposed budget of $24,148,917 in FY 2022 and $20,453,043 in FY 2023. 81% of budget allocated to business development, 15% to rural programs, and 4% for international.

Economic development activities

Mission and strategic objectives

- Vision – A vibrant, innovative, and sustainable economy with high- paying jobs for Nevadans
- Mission – High-quality jobs for Nevadans
- Objectives - as identified in the first State Plan for Economic Development
    - Establish a cohesive economic development operating system.
    - Advance targeted sectors and opportunities in the regions. o Expand global engagement
    - Catalyze innovation in core and emerging industries
    - Increase opportunity through education and workforce development

Innovation

2020 State Strategy for Economic Development (Nevada's Plan for Recovery & Resilience – SRI International) calls for typical actions to encourage innovation, e.g., establishing angel networks, tech accelerators, statewide seed-stage fund, Nevada Innovation Fund to foster tech transfer.

Small and middle market companies

State strategy calls for establishment of an Office of Micro-, Small-, and Medium- Enterprises within GOED. Also calls for implementation of federal Self Employment Assistance program (Oregon participates) where dislocated worker is paid equivalent to unemployment benefit but starts a business rather than searching for a new job.

Rural economy

Nevada Division of Outdoor Recreation established in 2019 to promote outdoor recreation opportunities, most of which are in rural areas. Majority of funding awards for Nevada Main Street program are in rural areas

Opportunities for underrepresented people

Nevada Opportunity Fund provides minority, women, and disadvantaged-owned small business loans up to $25,000 (fund must be recapitalized soon – only $40,000 remaining as of late 2020).

Transparency

GOED produces a comprehensive annual report detailing utilization of major programs, some ROI calculations as well as quantification of sales pipelines.

Target industries

- Aerospace & Defense
- Health
- Information Technology
- Manufacturing & Logistics
- Mining
- Natural Resource Technology
- Tourism & Gaming

Incentives

Nevada has pulled back from offering cash-based assistance under the previous administration (Gov. Sandoval). Per the 2020 GOED Annual Report, "Nevada is relatively unique in that it offers an entirely statutory Tax Abatement program. These tax abatements are finite and performance-based. The abatement program does not include any up- front cash funds or allocations from the state budget."

In FY 2020, eight companies were approved for the state's abatement program. These companies will create an anticipated 403 jobs, in the first two years of operation, and make an estimated $164,540,895 in capital equipment investment in the state.

NOTE: These abatements are typically bundled into one package per project.

Sales & Use Tax Abatement

- Basic benefit for business firms: abatement reducing the rate to 2% for 2 years for a new company and 4.6% for 2 years for an expanding company
- Geography: statewide; Clark (Las Vegas) and Washoe (Reno) are designated as urban counties, balance of state is rural counties
- Business eligibility: Meet EITHER the capital investment threshold or job creation threshold.
    - Capital Investment
        - Urban: invest minimum of $1 million (new) or 20% of prior year tangible property (expanding)
        - Rural: invest minimum of $250,000 (new) or 20% of prior year tangible property (expanding)
    - Job Creation

        - Urban: create 50 jobs (new) or increase headcount by 10% or 25, whichever is greater.
        - Rural: create 10 jobs (new) or increase headcount by 10% or 6, whichever is greater.
- Minimum employment requirement: see above
- Employee compensation requirement: 100% of statewide average wage ($24.16 for FY21), plus provide a health insurance plan where the employer pays at least 65% of the premium cost
- Local hiring or workforce cooperation requirement: None noted
- Local government role: no official approval role, however affected local government(s) receive 30 notice of GOED Board public meeting to approve the company's application
- Use/Outcomes reported: See above
- Very public process, requiring 30 day noticed GOED Board Meeting to approve and meeting materials posted online three days prior to meeting. Does not appear that projects can be considered under code names; however, GOED Director does have authority to exempt information that company deems to be proprietary (e.g., list of equipment to be purchased) from public disclosure.
- Sources: goed.nv.gov, GOED Economic Development 2020 Annual Report

Modified Business Tax Abatement

- Basic benefit for business firms: Abatement of 50% of Modified Business Tax due during the first four years of operation
- Geography: same as Sales & Use Tax Abatement
- Business eligibility: same as Sales & Use Tax Abatement
- Minimum employment requirement: same as Sales & Use Tax Abatement
- Employee compensation requirement: same as Sales & Use Tax Abatement
- Local hiring or workforce cooperation requirement: None noted
- Local government role: same as Sales & Use Tax Abatement
- Use/Outcomes reported: see above
- Sources: goed.nv.gov, GOED Economic Development 2020 Annual Report

Personal Property Tax Abatement

- Basic benefit for business firms: abatement of 50% of the tax due for 10 years
- Geography: same as Sales & Use Tax Abatement
- Business eligibility: same as Sales & Use Tax Abatement
- Minimum employment requirement: same as Sales & Use Tax Abatement
- Employee compensation requirement: same as Sales & Use Tax Abatement
- Local hiring or workforce cooperation requirement: None noted
- Local government role: same as Sales & Use Tax Abatement
- Use/Outcomes reported: see above
- Sources: goed.nv.gov, GOED Economic Development 2020 Annual Report

Workforce Training: Workforce Innovations for a New Nevada (WINN)

Program was created in 2016; was funded at $6 million for the 2020-21 biennium ($3 million/annually). Vast majority of program funding to date has been directed to community colleges to conduct training programs for existing employees. One $500,000 grant was awarded in a competitive incentive setting, to Faraday Future; uncertain if grant would have been administered by an educational institution, or Faraday directly, since project did move beyond very early stages of site development.

Utah

Background

- Population (Census): 3,205,958 (2019 estimate)
- Output (gross product, BEA): $198.63 billion (3Q2020)
- Top 5 industries as percent of total state GDP (BEA)
    - Real estate and rental and leasing: 15.9%
    - Manufacturing: 12.0%
    - Finance and insurance: 10.8%
    - Retail trade: 8.4%
    - Construction: 7.9%

Major state and local taxes (Tax Foundation)

Corporate Income Tax Rate: 4.95%

Sales and Use Tax Rate: 6.1% State, 1.08% average local for a total of 7.18%

Real Property Tax: Assessed at 100% of fair market value, with wide variation in rates by county. Statewide, tax rates average 0.62% of fair market value.

Personal Property Tax: Assessed at 100% of fair market value of tangible personal property each January 1; merchandise inventory, and farm machinery and equipment are exempt. Rates are same as for real property.

Organizational Information

Lead economic development organization

Utah Governor's Office of Economic Development – resides within Office of the Governor, created by statute.

Related players and oversight boards

Overseen by Board of Business and Economic Development, 15 member board appointed by the Governor with advice and consent of the Utah Senate. No more than eight members of the board may be members of the same political party, and members must represent a variety of geographic and business interests around that state. Governor appoints board chair.
There is a separate, public-private organization, EDC Utah, that takes responsibility for marketing the state; GOED is listed as the lead investor.

Staff levels

85 total staff in 2020, of which about 50 are devoted to typical economic development functions, with the balance devoted to film, tourism and outdoor recreation.

State economic development program expenditures

Total GOED budget of $98.1 million in FY 2020; $47.2 million devoted to film, tourism and outdoor recreation, leaving $50.9 million devoted to economic development operations and programs.

Economic development activities

Mission and strategic objectives

Mission: The Utah Governor's Office of Economic Development enhances the state's quality of life by increasing and diversifying Utah's revenue base and improving employment opportunities.

Vision: Utah will offer an exceptional quality of life by implementing sustainable economic development practices to:

1. Promote a business-friendly environment that allows the private sector to create high-paying jobs.
2. Align industry and education to produce a world-class workforce.
3. Support entrepreneurship and small business creation and growth.
4. Encourage collaboration and partnerships between state and local government and the private sector.
5. Utilize sustainable incentives to attract and keep high-paying jobs and provide public benefit via infrastructure, workforce development, etc.

The cornerstones of Utah's economic development strategy include:

- A business-friendly environment
- Collaboration
- A focus on entrepreneurship
- Sustainable incentives
- A world-class workforce

Innovation

Utah Industry and Innovation Center – helps companies win SBIR and STTR grants from federal agencies. In FY 2020, the Industry and Innovation Center conducted 23 events with over 586 client contacts. The Center team also helped Utah companies win over $7.7 million in non-dilutive SBIR/STTR funding to advance their research and development efforts.

Small and middle market companies

None noted, however the rural economy initiatives below are targeted at small and middle market companies in rural counties.

Rural economy

Robust suite of programs to aid rural counties in Utah:

- Business Retention and Expansion (BEAR) grant provides support for county economic development offices in rural areas to conduct consultative business retention visits. Program supports 800 – 900 business visits annually, supported by approximately $200,000 annually in GOED funds. Program increased by $600,000 in FY20 to provide $1,000 COVID relief grants to rural small businesses.
- Rural Co-working and Innovation Center Grant is a one-time program funded at $500,000 in FY20 to stand up six such centers in rural areas of the state.
- Rural Economic Development Incentive (REDI) encourages businesses to create quality jobs in 21 rural counties. A post-performance grant of $4,000 to $6,000 is available for businesses (other than construction, retail, staffing, or public utilities) for each new full-time, high-paying position they create paying 110% of the county's average wage. While funds are available, a total of $250,000 in grants is available to each business each fiscal year. The REDI grant may be used concurrently with other GOED incentives. Businesses must apply and receive approval through GOED before job creation.
- Rural Fast Track program supports small companies in rural Utah by awarding post-performance matching grants of up to $50,000 for investments directed toward improved production and the creation of high-paying jobs.
- Rural Rapid Manufacturing Grant is a one-time, $500,000 grant appropriated in FY20 to assist in the establishment of laboratories designed to train students and employees, to help build and improve equipment, and to support scholarship opportunities within an industry defined under state code 63N-4-602 as Rapid Manufacturing.
- Enterprise Zone Tax Credits are available to eligible businesses locating or expanding in enterprise zones in rural Utah. The job creation tax credit offers a $750 credit for each new full-time position, up to 30, created within the Enterprise Zone, with additional credits based on wage, industry, and health insurance. A capital investment tax credit of 25% for certain rehabilitation investment and 5% for the first $750,000 of qualifying investment in plant, equipment or other depreciable property. No new enterprise zone designations will be made after December 31, 2020.

Opportunities for underrepresented people

None noted.

Transparency

GOED prepares an Annual Report for the Utah Legislature and the public that provides an accounting of the programs, initiatives, and events for which the office is responsible. This report is published on Oct. 1 each year and covers the previous fiscal year.

Target Industries

- Advanced manufacturing
- Aerospace and defense
- Energy

- Life sciences and healthcare
- Outdoor products and recreation
- Software and information technology

Incentives

Economic Development Tax Increment Financing (EDTIF)

- Basic benefit for business firms: tax rebate program of up to 30%, over the life of the project, of new state taxes paid for up to 20 years. Typical length of project agreement is five to ten years. No more than 50% of overall project credit may be claimed in any one year.
- Geography: statewide
- Business eligibility: business must be in operation for at least three years and consistently profitable; project must compete with another state; business must be in one of the state's target industries; retail businesses ineligible.
- Minimum employment requirement: create at least 50 new jobs in urban counties (no minimum in rural counties).
- Employee compensation requirement: pay at least 110% of average county wage.
- Local hiring or workforce cooperation requirement: none
- Local government role: commitment from local government to provide local incentives and establish an Economic Development Zone.
- Use/Outcomes reported: in FY 2020, 21 companies received approval from the GOED Board to participate in the EDTIF program. These participants are collectively projected to create 13,364 new jobs, $1,133,129,906 in capital investment, over $590,977,656 in new state revenue, and $9,738,589,715 in new state wages.
- Every three years, the EDTIF program is required to undergo a third-party review to ensure its meeting and accurately providing information for its statutory, ethical, and reporting obligations. The most recent report, completed by the Tanner CPA firm in the summer of 2020, shows the EDTIF program continues to provide a positive return on investment to the state of Utah, and that outcomes for new incremental and high-paying jobs are reported accurately and according to legislative intent. For FY 17, 18, and 19, new State of Utah revenues as a percentage of program expenses & tax credits/rebates were 339%, 360%, and 383%, respectively.
- Sources: business.utah.gov; 2020 Utah GOED Annual Report.

Industrial Assistance Fund

- Basic benefit for business firms: A post-performance grant for the creation of high-paying jobs in the state.
- Geography: statewide
- Business eligibility: business must be in operation for at least three years and consistently profitable; project must compete with another state; business must be in one of the state's target industries; retail businesses ineligible.
- Minimum employment requirement: create at least 50 new jobs in urban counties (no minimum in rural counties).

- Employee compensation requirement: pay at least 110% of average county wage.
- Local hiring or workforce cooperation requirement: none noted.
- Local government role: commitment from local government to provide local incentives and establish an Economic Development Zone.
- Use/Outcomes reported: unable to determine if program is active or just filling prior year commitments; per GOED 2020 Annual Report $500,000 was expended on IAFD, $1,500,000 was encumbered, with a fund balance of $6,727,276.
- Sources: business.utah.gov; 2020 Utah GOED Annual Report.

Workforce Training: Custom Fit Program

$4,559,200 appropriated in FY20 for this program, which reimburses up to 50% of training costs. Currently, the funds are distributed to central administration of the Utah System of Technical Colleges, which makes allocation among the 8 Technical Colleges, Utah State University (USU) Eastern, Snow College and Salt Lake Community College (SLCC). A proposal was introduced in January 2021 (unclear if it has been enacted) to remove the allocation authority from central administration and instead have the legislature fund specific line items for each of the institutions. This may be part of the effort to direct economic development resources to rural Utah, as Salt Lake Community College would only receive $460,880, or about 10% of the statewide total. The program is mentioned on the GOED website so it may be offered as an incentive for competitive project; training must be conducted through one of the UT System of Technical Colleges institutions (i.e., the company cannot select a private training provider or conduct the training itself).

Washington

Background

- Population (Census): 7,614,893 (2019 estimate)
- Output (gross product, BEA): $632.10 billion (Annual as of 3Q2020)
- Top 5 industries as percent of total state GDP (BEA)
    - Information: 18.1%
    - Real estate and rental and leasing: 16.0%
    - Manufacturing: 11.1%
    - Retail trade: 10.7%
    - Professional, scientific and technical services: 7.7%

Major state and local taxes (Tax Foundation)

Business & Occupation Tax: Gross receipts tax with general rates of .00471 for retailing, .00484 for wholesaling, .00484 for manufacturing, and .015 for services. However, within these broad classifications there are individual industries taxed at a higher of lower rate.

Sales Tax: State rate 6.5%, local rate averages 2.73%

Property Tax: Capped by state constitution at 1.00% of true and fair market value, i.e., $10 tax per $1,000 value. Typically $3.60 of the $10 tax is for the state, $5.90 is for county and city purposes, and remaining $0.50 is reserved for special assessments/purposes.

Organizational Information

Lead economic development organization

Washington State Department of Commerce – Public Sector, state executive branch department

Related players and oversight boards

No oversight board found – Director appointed by and serves at the pleasure of the Governor. Oversight is conducted by Washington Senate Business, Financial Services & Trade Committee, and Washington House Community & Economic Development Committee. The department chairs or holds seats on several independent state boards, commissions and councils, and also provides staff and administrative support to these bodies. Boards/commission directly relevant to economic development include Community Economic Revitalization Board, Public Works Board, and Hanford Area Economic Investment Fund.

Staff levels

350 to 360 overall Commerce Department staff per contact.wa.gov state employee directory.

The Office of Economic Development and Competitiveness (OEDC), which administers business assistance programs, has 30.3 FTEs per the Department's 2020 Resource Book http://www.commerce.wa.gov/wp-content/uploads/2020/01/2020-ResourceBook-Final.pdf.

State economic development program expenditures

Overall OEDC budget for 2020 was $41,892,282 as compared to Commerce's overall $668.31 million budget (Community Housing & Services is the largest category in the Commerce budget, at $472.5 million). Within OEDC's budget, $8,322,193 was allocated for Business Development and $12,062,000 for Business Loans.

Economic development activities

Mission and strategic objectives

The Washington State Department of Commerce's mission is to strengthen communities in Washington.

We are the lead state agency charged with enhancing and promoting sustainable community and economic vitality in Washington. We administer a diverse portfolio of more than 100 programs and several state boards and commissions, all focused on helping communities achieve positive growth.

Our key customers include businesses, local governments, tribes and community-based organizations. We also play the crucial role of convening numerous local, state, regional and federal partners and stakeholders, both public and private. Together we work to support the Governor's priorities and achieve shared goals and objectives for the citizens of Washington.

Innovation

Innovation Partnerships Zones – created in 2006, these were a leading initiative of former Gov. Christine Gregoire. By law, each zone must include three entities: research, industry cluster, and training. The program peaked in 2013, with $13.5 million in funding allocated among 18 IPZs. Funding discontinued after 2013; 10 IPZs remain, showing varying levels of activity due to the need to raise funds from private sources.

Small and middle market companies

Regulatory Roadmaps – 11 local jurisdictions have partnered with Commerce to develop an easy to follow "roadmap" on permitting and regulatory requirements, focusing on the restaurant, manufacturing, and residential construction industries. StartUp Washington – comprehensive online resources on starting a business.

Rural economy

Small Communities Initiative – provides technical assistance to small, rural communities that must upgrade their drinking water and/or wastewater systems.

Scale Up and Thrive! – economic gardening-type program focused on rural areas.

Opportunities for underrepresented people

Opportunity Zones Community Technical Support – have completed technical assistance on 27 proposed Opportunity Zone projects to be located on tribal lands.

Transparency

100-plus page Agency Resource Book produced annually, detailing programs, some funding/expenses, and anecdotal success stories for each major program area of Commerce. Has adopted the "Genuine Progress Indicator" as an alternative measure to state GDP. "The Genuine Progress Indicator (GPI) measures how well our economy performs each year in producing economic, social, and environmental gains. And, importantly it gives us a view into the costs or losses being experienced to help improve planning and decision-making about our policy and programmatic investments." Washington is the third state, after Vermont and Maryland, to adopt the GPI.

Target Industries

- Aerospace & Commercial Space
- Agriculture & Food Manufacturing
- Clean Tech
- Forest Products
- Information Communications & Technology
- Life Sciences & Global Health
- Maritime
- Military & Defense
- Tourism

Incentives

Governor's Strategic Reserve Fund

- Basic benefit for business firms: Deal closing fund to that may be used to attract, expand or retain a business. Wide range of permitted uses – infrastructure improvements, workforce training, site planning and environmental review.
- Geography: Statewide
- Business eligibility: Few firm requirements. Any expenditure from the Fund must result in job creation, job retention, or higher incomes for the state. Fund expenditure must be accompanied by private investment and not replace private investment. Expenditure may only be authorized by the Governor, on the recommendation of the Secretary of Commerce.
- Minimum employment requirement: None
- Employee compensation requirement: None
- Local hiring or workforce cooperation requirement: None
- Local government role: No mandated role; local entities may be recipient of funds and implementer (e.g., construct public infrastructure improvements, community college provides training).

- Use/Outcomes reported: No formal data reporting found. Only a small handful of supported projects uncovered by research, grants of $100 – 250,000 to smaller manufacturers to support facility expansion.
- $5 million from Fund used in 2020 to capitalize Working Washington COVID relief fund, which provided grants of up to $10,000 to very small businesses with up to 10 employees; more than 1,500 businesses were supported.
- Assistance from Fund capped at $3 million per company. Funding is provided from one-third of receipts of unclaimed Washington Lottery prizes annually. During the 2017-19 and 2019-21 fiscal biennia, it appears the state legislature tapped the fund to support the operating budget of business development activities within the Commerce Department.
- Sources: commerce.wa.gov; 2020 Commerce Agency Resource Book; apps.leg.wa.gov

Business & Occupation (B&0) Tax Incentives for Aerospace

- Basic benefit for business firms: Package of tax incentives targeted at aerospace industry (both OEM, i.e., Boeing, as well as manufacturing and services portions of supply chain). Most/all date back to successful effort in the 2000s to secure production of the Boeing 787 series airliners in Washington (a second production site has since been opened outside Charleston, SC).
- Credits for preproduction development expenditures; property/leasehold taxes paid on aerospace business facilities; retail sales/use tax exemption for construction materials used in commercial aircraft wing, fuselage, and final assembly; and aircraft MRO (maintenance repair & overhaul) activities remain in place. Sales tax exemption for computer hardware/software/peripherals used by aerospace businesses remains in place. Preferential B&O tax rate for aerospace businesses repealed 4/1/2020 at Boeing's request to head off adverse World Trade Organization ruling that would have permitted retaliatory sanctions by European Union member nations against a wide range of U.S. (not just Washington State) exports.
- Geography: statewide
- Business eligibility: operate within defined aerospace industry codes
- Minimum employment requirement: none noted
- Employee compensation requirement: none noted
- Local hiring or workforce cooperation requirement: none noted
- Local government role: none noted
- Use/Outcomes reported: 371 companies benefited from the B&O preferential rate as of 2018. Boeing was the biggest beneficiary by an overwhelming margin, with an estimated tax savings of $100 million that year; the next closest firm had a tax savings of $884,000. The third through tenth ranking firms reported savings of $854,000 to $322,000; the remaining 361 firms collectively reporting savings of $10,689,095 (average of $29,609 per firm – in aerospace enough to fund probably ¼ to 1/3 FTE). Ending the preferential rate is estimated to yield an additional $229 million in revenue during the 2021-23 biennium.
- General comment on B&O tax incentives – since the B&O tax, as a gross receipts tax, impacts virtually all for profit firms, it can be an effective vehicle for providing meaningful benefits to a broad spectrum of firms. Contrasted with a corporate income tax scheme, where unprofitable (e.g., many/most start-ups) firms receive no benefit unless the state allows them to monetize losses (typically

through saleable credits), and Fortune 1000 size firms have become quite expert in engineering their state-by-state allocations of income so as to minimize overall exposure in the states in which they operate.

- Sources: Seattle Times, dor.wa.gov Guide to Incentive Programs

Rural Focused Tax Incentives

- Basic benefit for business firms: Package of tax incentives targeted at firms that operate in industries located in rural locations: extracting and timber manufacturing (reduced B&O tax rate), farming & agriculture (sales & use tax exemptions for farm fuel, replacement parts and equipment, nutrient management facilities, and anaerobic digesters), food manufacturing (reduced B&O tax rate)
- Geography: statewide
- Business eligibility: operate within defined industry codes
- Minimum employment requirement: none noted
- Employee compensation requirement: none noted
- Local hiring or workforce cooperation requirement: none noted
- Local government role: none noted
- Sources: dor.wa.gov

B&O Tax Credit for New Employees in Manufacturing and R&D in Rural Counties

- Basic benefit for business firms: Tax credit for firms increasing manufacturing and/or R&D employment by at least 15% in a rural county. $2,000 per job credit for each position pay up to $40,000; $4,000 per job for each position paying $40,000 or more.
- Geography: A county with fewer than one hundred persons per square mile or a county smaller than two hundred twenty-five square miles as determined annually by the Office of Financial Management and published by the Department of Revenue effective for the period July 1st through June 30th. As of July 1, 2010, only 8 counties are not classified as rural counties.
- Business eligibility: Conduct manufacturing and/or R&D activities in a rural county.
- Minimum employment requirement: increase applicable headcount by 15%.
- Employee compensation requirement: no minimum
- Local hiring or workforce cooperation requirement: none noted
- Local government role: none noted
- Use/Outcomes reported: Annual tax performance report due to WA Department of Revenue every May 31.
- Incentive expires July 1, 2027.
- Sources: dor.wa.gov

Workforce Training: Washington Work Start Program

Per WA Commerce Department website, provides customized training to employees where there is a critical need to upgrade skills of existing workers, or to support expansion/attraction projects (minimum 15 new FTEs). Workers must be paid while in training and training should be

completed within 12 months of application approval. Current funding and utilization of program uncertain; last project found in online searching was January 2019 (Tool Gauge expansion, 150 new jobs, $125,000 in Work Start awarded). Online research also reveals efforts by Washington Legislature to eliminate the program during the 2015 and 2017 legislative session.

California

Business Oregon requested an analysis of state-level incentives that are significant for Oregon. California is analyzed separately because its size and characteristics make it unique among states, making it both a project competitor and a source of project opportunities. This means that Oregon competes differently with California than it does with other states.

Smart Incentives identified over 40 incentives offered in California and, with the steering group, selected four incentives of significance and interest for analysis. Most of the remaining incentive programs do not factor into inter-state competition nor are they comparable to Oregon's business development incentives and so are not analyzed here. The four incentives that are addressed are:

1. California Competes Tax Credit
2. New Employment Credit
3. Research and Development Tax Credit
4. Employment Training Panel

California Competes

The California Competes Tax Credit is an income tax credit available to businesses that want to locate in California or stay and grow in California. The income tax credit is non-refundable but allows for a 6 year carryover. Over $231 million in tax credits were available for allocation in the 2020-21 fiscal year. No more than 20% of the allocation may go to any one applicant per fiscal year.

Businesses apply online for the tax credit and go through a two-phase review and approval process. California typically offers three application periods per fiscal year, with 90 days from application to award. Tax credit agreements are negotiated by the Governor's Office of Business and Economic Development (GO-Biz) and approved by the California Competes Tax Credit Committee. The GO-Biz California Competes team includes a deputy director, assistant deputy director, tax credit specialist, and four tax credit analysts. The Committee members include the State Treasurer, Director of the Department of Finance, two legislative appointees, and the Director of GO-Biz. Documentation is shared with the Franchise Tax Board (FTB), which must review records to ensure compliance with the terms of the agreements (this review is discretionary for businesses with receipts under $2 million) and notify GO-Biz in case of breach of agreement.

All businesses are eligible to apply. Phase I includes a quantitative analysis and assessment of the cost-benefit ratio. Phase II is a more comprehensive evaluation of the factors listed below plus the Phase I ratio. The cost-benefit ratio is the amount of the credit requested divided by the sum of aggregate employee compensation and aggregate investment. In general, applications with the most advantageous (lowest) ratio move to Phase II but exceptions are allowed. The ratios that allow projects to move forward are not established in advance and vary by application period. Recent historical ratios have ranged from 0.224 for one period in 2019-20 to 0.0366 in the first period of 2020-21.

Credit awards are based on 12 factors:

1. Number of jobs created or retained
2. Compensation paid to employees
3. Amount of investment
4. Duration of proposed project and commitment to remain in the state
5. Extent of unemployment or poverty in business area
6. Extent the benefit to the state exceeds the amount of the tax credit
7. Incentives available in other states
8. Opportunity for future growth and expansion
9. Other incentives available in California
10. Overall economic impact
11. Strategic importance to the state, region, or locality
12. Training opportunities offered to employees

In addition to these factors, GO-Biz is required to evaluate how the amount of the credit factors into the applicant's ability or willingness to expand in California. GO-Biz suggests businesses use the narrative to describe the business, its customers' locations, whether the jobs have to be in California, where competitors are located, whether the jobs are reliant upon local market demand, how the amount of the incentive enables or incentivizes the decision, and if operations outside of California are under consideration.

The negotiated agreements include employment, investment, minimum employee compensation, retention period, credit distribution period, and recapture provisions. GO-Biz provides the figure below as a sample agreement table for key metrics.

Taxpayer: Widget Manufacturing, Inc.

	2020 Tax Year (Base)	2021 Tax Year	2022 Tax Year	2023 Tax Year	2024 Tax Year	2025 Tax Year	Total
Total California Full-Time Employees[1]	48	56	78	84	88	88	
Net Increase of Full-Time Employees Compared to the Base Year		8	30	36	40	40	
Minimum Annual Wage of California Full-Time Employees Hired		$35,000	$35,000	$35,000	$35,000	$35,000	
Cumulative Average Annual Wage of California Full-Time		$40,000	$40,000	$50,000	$50,000	$50,000	
Investments		$0	$10,000,000	$7,660,000	$0	$0	$17,660,000
Tax Credit Allocation		$160,000	$160,000	$160,000	$160,000	$160,000	$800,000

[1] Determined on an annual full-time equivalent basis

There is not a formal local government role in this process, but the application does request information on other federal, state and local incentives and programs. Applicants are invited to provide letters of support that can be considered during Phase II. There does not appear to be a local hiring or workforce cooperation requirement.

A 2017 assessment from the Legislative Analyst's Office (LAO) found that as of June 2017, $528 million in credits had been awarded out of $590 million available. 3,000 applications had

been received and 775 agreements approved. Tax credit claims data were only available for 2014 and 2015 at that time, showing that $15.7 million in credits had been claimed, although $51.1 million was eligible to be claimed.

A March 2020 assessment reported that a total of 1,043 agreements had been approved as of November 2019. A total of $125.1 million in credits had been claimed through tax year 2018, with $57 million claimed in 2018 alone. Additionally, GO-Biz signed 72 agreements in the 2018-19 fiscal year, with an average amount of $2.7 million. Manufacturers accounted for 65% of the total awards. In both 2017 and 2020, LAO stated that the number of jobs created is unclear.

GO-Biz reports on its website (accessed March 2021) that 1,089 awards have been made with 124,000 "full-time jobs committed." The awardee list and details are available here: https://business.ca.gov/california-competes-tax-credit/awardee-list/.

The Governor's proposed 2021-22 budget includes a significant expansion of California Competes, including $250 million in grants (new) and $180 million for tax credits over two years. The grants program is intended for projects that establish at least 500 net new jobs or make a significant infrastructure investment (as defined by GO-Biz) or receive GO-Biz designation as a strategic priority to the state.

Sources

California Competes website: https://business.ca.gov/california-competes-tax-credit/
Online application: https://www.calcompetes.ca.gov/Login.aspx?ReturnUrl=%2f
FAQ: https://static.business.ca.gov/wp-content/uploads/2019/12/California-Competes-FAQ-3-8-21.pdf
Application Workshop presentation: https://static.business.ca.gov/wp-content/uploads/2020/07/CCTC-March-2021-Outreach-Webinar-Presentation.pdf
LAO Report, The 2021-22 Budget, Business Tax Incentives: https://lao.ca.gov/Publications/Report/4327
2017 Review of the California Competes Tax Credit: https://lao.ca.gov/Publications/Report/3709 - Recommendation and Options
2020 Assessing Recent Changes to California Competes: https://lao.ca.gov/Publications/Report/4213

New Employment Credit

The New Employment Credit is an income tax credit available to companies that hire full-time employees within designated geographic areas (DGA). The credit amount is roughly 35% of qualified wages. The designated geographic areas are defined by high unemployment/high poverty census tracts.

Qualified employers must operate within a DGA, hire qualified employees, obtain a credit reservation for the qualified employees, pay qualified wages (portion of wages that are between 150% and 350% of CA minimum wage), and have a net increase in jobs. An employee can generate qualified wages for 60 months from the date of hire. Temporary help, retail, theater, food and drink establishments, and casinos are generally excluded unless they are small businesses.

Qualified employees are those hired on or after the location's designation as a DGA, perform at least 50% of work in the DGA, receive wages that exceed 150% of California minimum wage, work at least 35 hours per week, were previously unemployed, are veterans, received the Earned Income Credit the previous year, are ex-offenders, or are current recipients of CalWORKS or county general assistance.

Sources

https://www.ftb.ca.gov/file/business/credits/new-employment-credit/index.html

This incentive is not featured on the GO-Biz website as a business incentive.

Employment Training Panel

The Employment Training Panel (ETP) provides funding to employers for training that upgrades the skills of their workers. The program was created in 1982 to retain businesses and jobs in the state, increase the competitiveness of California companies, and enhance workforce skills. Its primary focus has been high-wage, high-skilled, secure jobs in priority industries. Construction and manufacturing are the dominant industry recipients, followed by technical services, high tech and healthcare.

The program works by reimbursing employers for approved training for incumbent workers and for training to help unemployed workers re-enter the workforce. It is funded through a special payroll tax. Only employers that are subject to the Employment Training Tax are eligible. Businesses earn ETP funds after a trainee completes training and is retained for a minimum period of time at a required wage in a job using the skills learned in training. Training for unemployed workers is provided principally through distributions from the Employment Development Department and California Energy Commission.

The ETP is governed by an eight member panel with representatives from labor, business, and government. Three members are appointed by the Governor, two by the Speaker of the Assembly, and two by the Senate Pro Tem. The director of GO-Biz is an ex officio voting member. The organization touts its partnerships with the California Workforce Development Board and California Workforce Association.

The ETP mission appears to have expanded since its inception to adapt to changing workforce needs. ETP programs and funds may be used to support "initiatives important to the Governor and the Panel," and they also implement incentive programs to support workforce needs in the Clean Transportation Program, *to support job creation in cooperation with GO-Biz*, for apprenticeship programs, and to provide training for veterans. In FY 2018-19, ETP reports *$8.4 million was used to support creation of over 5000 jobs*. For example, DreamWorks Animation received ETP funds to "further develop a high performance work environment and maintain a competitive edge in the animation marketplace."

Further, the Vision and Mission have been updated in the 2020-21 Strategic Plan. The previous vision stated, "The Employment Training Panel will support economic development in California through strategic partnerships with business, labor and government." The new vision reads:

The Employment Training Panel will support *future-oriented, sustainable* economic development and job training in California *that is equitable and inclusive* through strategic partnerships with business, labor, and government.

A new element of its mission is to "Support high-wage, career track workforce training efforts for disproportionately affected communities." ETP also implemented a COVID Rapid Reemployment and Retraining Pilot program in FY20-21.

The 2018-19 Annual Report notes that over three decades, the ETP has provided "$1.69 billion for the successful training and employment retention of 1.3 million workers employed by over 87,628 California businesses." For FY 2018-19, ETP completed 409 contracts totaling $77 million serving over 85,000 trainees. In addition, 365 contracts engaging 95,000 trainees were active, and 432 new contracts for 97,000 trainees were approved. ETP's FY 18-19 budget was $92.3 million. The average post-retention wage for retrainees was $33.45/hour, and the average for workers previously unemployed was $15.57/hour.

A July 2020 external assessment found that ETP's "pay for performance approach to reimburse employers that train their employees … had positive and significant impacts on company sales and firm size," but with variations by firm size, age and sector.

Sources

https://etp.ca.gov/

ETP application process: https://etp.ca.gov/wp-content/uploads/sites/70/2018/11/ETP_PreApp-AppDevelopmentFlowchart.pdf

ETP Strategic Plan 2020-21: https://etp.ca.gov/wp-content/uploads/sites/70/2020/06/ETP_20-21StrategicPlan.pdf

2018-19 ETP Annual Report: https://etp.ca.gov/wp-content/uploads/sites/70/2020/06/ETP2018-2019_AnnualReport.pdf

2020 State-level policies to incentivize workplace learning: Impacts of California's incumbent worker training program. https://www.brookings.edu/research/state-level-policies-to-incentivize-workplace-learning/

Research and Development Tax Credit

The California Research and Development Tax Credit reduces the income or franchise tax for businesses or individuals who paid or incurred qualified research expenses while conducting qualified research in California. The credit is equal to the sum of 15% of qualified expenses that exceed a base amount and 24% of basic research payments (available to corporate taxpayers only). Qualified expenses include wages, supplies, rental or lease costs of computers, and in-house or contract research expenses. Qualified expenses do not include payments for tangible personal property eligible for specified sales or use tax exemption. Basic research refers to certain types of research activities conducted by selected outside entities such as universities

and independent research institutions on behalf of the taxpayer. Unused credits can be carried over until the credit has been exhausted, but the carryover must be applied to the earliest tax year possible. The tax credit is not refundable. Businesses do not have to claim the federal research credit to claim the California credit.

Taxpayers may choose to take an alternative incremental credit "in which taxpayers are assigned a smaller three-tiered fixed-base percentage and a reduced three-tiered credit rate (1.49%, 1.98%, and 2.48%)," according to the Franchise Tax Board. According to the Legislative Analyst's Office, this option allows otherwise ineligible corporate taxpayers to participate in the program and "benefits those firms whose R&D expenses have not kept pace with their gross receipts."

For taxable years between January 1, 2020, and January 1, 2023, there is a $5 million limitation on the application of business credits for taxpayers. Credits that are disallowed for this reason may be carried over. This limitation does not apply to the Low Income Housing Credit.

The 2020-2021 Tax Expenditures Report estimated the revenue loss to the state general fund from the R&D tax credit to be $2.4 billion in 2020-21. The same report noted that over 17,000 personal income tax returns claimed this credit in 2017, and over 4,300 corporate tax returns claimed the credit in 2016.

The last in-state evaluation of this credit we were able to identify was performed by the Legislative Analyst's Office in 2003. The revenue loss associated with the tax credit in 2003-04 was $519 million. Most that loss was associated with the corporate tax as opposed to the personal income tax and represented about 5.3% of total corporate tax revenues that year. Manufacturers accounted for the bulk of claims and value of the tax credit claimed. Nonmanufacturing accounted for 43% of claims and 26% of the amount of tax credit claimed.

Findings are mixed from academic research and other state evaluations examining the impact and effectiveness of research tax credits. It is difficult to draw clear conclusions from the research because studies use different time periods, measures of impact and effectiveness, and a wide variety of methodologies.

A literature review in a 2016 Iowa study on Research Activities Tax Credits stated that the impact of state level incentives on outcomes such as migration patterns of research scientists or contribution to variation in R&D spending among states is not clear, but that studies generally find the federal tax credit does increase R&D expenditures. A 2017 analysis from the Department of Legislative Services in Maryland found that tax policies and the tax credit in particular "do not appear to be the most important factor in explaining the difference in R&D and innovation across states" and questioned whether the tax credit boosted long-term economic growth through increased innovation. Pennsylvania's Independent Fiscal Office in 2020 states, "Research finds that the tax credit incentivizes state R&D expenditures, but evidence of that effect cannot be seen using statewide jobs or R&D expenditure data."

A recent Smart Incentives literature review on incentives for entrepreneurial firms (forthcoming) also identified mixed effects on entrepreneurial activity. While some analyses of R&D tax credits note various negative impacts on entrepreneurship as measured by new market entry and startup creation, others suggest that R&D tax credits indirectly lead to new firm formation when increased R&D is correlated with increases in employee departure to venture capital-backed startups. Another analysis found that startups increased after the third year of tax credit

implementation with increases continuing up to year 14, with accompanying improvements in the "quality" (growth orientation) of entrepreneurship.

Sources

https://www.ftb.ca.gov/file/business/credits/california-research.html

https://www.ftb.ca.gov/forms/2020/2020-3523-instructions.html

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Iowa Department of Revenue, Research Activities Tax Credit, Tax Credits Program Evaluation Study 2016:
https://www.ncsl.org/Portals/1/Documents/fiscal/evaluation_database/IA_Research_Activities_Credit_Evaluation_Study.pdf

Maryland Department of Legislative Services, Evaluation of the Research and Development Tax Credit 2017:
https://www.ncsl.org/Portals/1/Documents/fiscal/evaluation_database/Draft_Evaluation_of_the_Research_and_Development_Tax_Credit.pdf

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https://www.ncsl.org/Portals/1/Documents/fiscal/evaluation_database/PennsylvaniaResearchandDevelopmentTaxCredit_AnEvaluationofProgramPerformance.pdf

How California affects Oregon's economic development activities and incentive programs

California remains important to Oregon's economic development activities as a source of opportunities. Oregon still offers several cost advantages over California, including utilities, cost of living (including housing), labor, and effective tax rates, although these advantages would vary according to which communities are being compared. Local building codes and permitting processes in Oregon also appear to continue to provide operating advantages to companies. In this context, when Oregon competes with California, it is rarely about competing incentive offers.

California's incentive offerings have not had much effect on opportunities for Oregon, but in recent years other states have become more aggressive and several have updated their incentive programs as they increasingly compete with Oregon for opportunities coming out of California. California itself may also be increasingly aggressive in keeping opportunities at home, with a long list of incentives designed to help in-state businesses and a major proposed expansion to the California Competes Tax Credit.

There is some debate over the volume of activity leaving California and moving to other states. During a March 2020 webinar, Bob Hess, Vice Chairman of Newmark's Global Corporate Services practice, said, "While some companies are very publicly shifting headquarters, most are not fully exiting California." Further, the Newmark team noted that even if companies move a headquarters, for example, in many cases jobs and people remain in California. Businesses are not completely abandoning the state. That said, more companies are looking outside of California for additional options and second operations. The same is true for individuals. While the media often mention the exodus from the Bay Area (and other large cities in the US), data show that people who are moving tend to relocate to areas just outside the Bay Area or elsewhere in California. Only a small percentage leave the state.

Three other major GO-Biz initiatives may affect the way economic development is practiced in California, with potential implications for Oregon and other states. California's focus on issues like the future of work, job quality, worker empowerment, and the economic development intersection with transportation, housing and community development all presage changes in how state-level economic development will be practiced and perceived in the rest of the country. All three initiatives got underway pre-COVID, so in some cases their work plan shifted in response to the pandemic, especially for the Entrepreneurship Task Force. Themes of climate mitigation, the shift to a carbon neutral economy, and clean energy technologies run throughout these and much of California's economic development work.

Future of Work Commission

Governor Newsom established the Commission in 2019 to examine the type of jobs that are emerging in California, the impact of technology, ways to promote better job quality, worker safety net modernization, and ways to prepare the workforce for the jobs of the future. Concerns that too many Californians have not benefited from the state's economic success and a desire to create a more inclusive economy prompted the Commission's work. The result was "A New Social Compact for Work and Workers" released in March 2021.

The Compact includes a set of core principles and values plus five priority recommendations. Among the principles are promoting equity of people and place and empowering workers and rebalancing power with employers. The recommendations are:

1. Ensure there are jobs for everyone who wants to work (includes job creation goals)
2. Eliminate working poverty (includes raising wages to a living wage level, creating supports for workers to organize, extending unemployment insurance, supporting reskilling, and "further 'high-road' employment supports")
3. Create a 21st century worker benefits model and safety net
4. Raise the standard and share of quality jobs
5. Future-proof California with jobs and skills to prepare for technology, climate, and other shocks (includes demand-side incentives to support the creation of future jobs and R&D/technology investments)

Please also see:

https://www.latimes.com/business/story/2021-03-02/la-fi-future-of-work-newsom-inequality

https://www.governing.com/work/Commission-Outlines-Plan-for-Guaranteed-Work-Increased-Benefits.html

Regions Rise Together

The Regions Rise Together effort is intended to be a "high road vision for inclusive and sustainable economic development across California's diverse and interconnected regions." It stives to draw attention to opportunities in all regions, especially for inland California. It appears to focus on transportation and planning, but also touches on housing, climate change, air quality, public health, and other infrastructure assets. The Governor's Office of Planning and Research notes that it is part of the state's strategy to transition to a carbon neutral economy (Just Transition).

Please also see:

https://www.fresnobee.com/opinion/op-ed/article237046744.html

https://www.arcgis.com/apps/Cascade/index.html?appid=d056b93e3116413cbd1ad25cc4245221

Entrepreneurship Task Force

The GO-Biz Entrepreneurship Task Force (ETF) supported by the California Office of the Small Business Advocate (CalOSBA) serves as a working group to share ideas and solutions to propel California's next generation of innovative entrepreneurs and small and medium businesses, and to ensure that all California startups and firms have access to resources to grow or scale. The Task Force serves as a bridge to small and mid-size businesses to help California maintain its entrepreneurial and innovation leadership.
Two of the leaders behind this effort, Isabel Guzman and Dilawar Syed, have recently taken leadership positions as Administrator and Deputy Administrator respectively in the US Small Business Administration for the Biden administration. Prior to this, the task force's activities appear to have shifted primarily to pandemic response.
https://static.business.ca.gov/wp-content/uploads/2020/04/Announces-New-Members-of-Entrepreneurship-Task-Force.pdf

Comparison of tax systems

This section compares California's tax system to Oregon's by drawing on data from the Tax Foundation.

2021 State Business Tax Climate Rating

	California	Oregon
Overall Rank	49	15
Corporate Taxes	28	49
Individual Taxes	49	38
Sales Taxes	45	4
Property Taxes	14	16

Source: 2021 State Business Tax Climate Rating (Tax Foundation)

Corporate Taxes

	California	Oregon
Top corporate income tax rate	8.84%	7.60%
Brackets	8.84%>$0	6.6%>$0; 7.6%>$1m
Gross receipts		0.57%

Source: 2021 State Business Tax Climate Rating (Tax Foundation)

The Tax Foundation explains, "In May 2019, the Oregon legislature adopted a modified gross receipts tax, imposed at $250 plus a rate of 0.57% on Oregon gross receipts above $1 million. … Oregon … is now one of only two states, with Delaware, to impose both a corporate income tax and a gross receipts tax. The new tax dropped the state 16 places on the corporate tax component, from 33rd to 49th."

Property Taxes

	California	Oregon
Property taxes paid as % of owner-occupied housing value	0.74%	0.98%
State and local property tax collections per capita	$1,607	$1,487
Reliance on property taxes FY18	24.70%	31.40%
Property tax as a % of personal income	2.67%	3.07%

Source: 2021 State Business Tax Climate Rating (Tax Foundation) and 2021 State Property Taxes Reliance

Individual Taxes

	California	Oregon
Top individual income tax rate	13.30%	9.90%
State and local individual income tax collections per capita	$2,137	$2,021
State and local tax burden	11%	10.30%

Source: 2021 State Business Tax Climate Rating (Tax Foundation)

Appendix 4. Effectiveness and Efficiency Background Materials

March 8 Steering Group Agenda

Strategic Assessment of Incentives:

- Benchmarking update
- Special focus: California
  - How do California's economic development practices, including incentive use, affect Oregon's competitiveness?
  - How is this dynamic changing?
  - What is the impact on different industries of interest to Business Oregon?
- Potential topics for Effectiveness and Efficiency discussions
  - Preliminary options stemming from Priority Alignment and Benchmarking findings to date:
    - Reporting and outcomes associated with FSHAs
    - Opportunities for refinements to SRF and BEP
    - Creating an online portal for incentives reporting
    - Rethinking definitions of traded sector, rural and small and middle market for incentives management and reporting
    - Mechanisms for obtaining data and tracking outcomes related to underrepresented populations (such as establishing procedures to enable consistent reporting on public benefits agreements; lessons learned from SRF/BEP; requesting additional information from companies)
    - Establishing a procedure for assessing long-term economic outcomes of incentivized activity
    - Expanding marketing, communication, and technical assistance around incentive programs (focus on local partners but also for businesses);
    - Opportunities to increase access to DOR data that would improve program transparency & reporting
    - Options for accessing resources to implement any desired changes
  - Begin to think about outside guests who should be invited to join the discussions
- Next steps

April 5 Steering Group Agenda

- Benchmarking update (30–45 minutes)
  - Brief, final review of California analysis – Ellen Harpel
  - Findings and takeaways from 4 states – Bernie McShea
- Proposed Effectiveness and Efficiency discussions
  - 4/19: DEI-related data and other potential paths
  - 5/3: Refocusing SRF and Business Expansion Program
  - 5/17: New tools to present and market incentives
- Next steps

- Ongoing revision of Priority Alignment draft deliverables to incorporate comments
- Complete benchmarking analysis
  - Two more states and briefing TBD
  - Writeup of overarching findings, takeaways, and implications
- Schedule Effectiveness and Efficiency discussions
  - Identify additional participants (to be invited by Business Oregon or Steering Group member)
  - Prepare pieces to guide the conversation (Smart Incentives)
- Internal process module with Business Oregon
- Final report assembly and reviews
- Project end date is June 30

April 19 Steering Group Agenda

Effectiveness and Efficiency Topic # 1

Advancing economic opportunity for underrepresented people is one of Business Oregon's strategic priorities. It is not clear whether Oregon's business development incentives are advancing this priority though they possibly do so. Participating businesses may be minority-owned and their employees may include people of color, immigrant populations, and individuals from native and tribal communities. As of now, there is no program data to determine if this is the case, and it is not a requirement in most situations.

In today's meeting, the steering group will discuss "what could be done differently" to collect and report data that would tell the story of how Business Oregon's incentives help advance economic opportunity for underrepresented people.

1. What mechanisms might allow Business Oregon to improve understanding or reporting in the ways that incentivized projects do or could advance economic opportunity for underrepresented peoples? (*brief Smart Incentives presentation*)
2. Which options are most doable? What resources (staff, time, partnerships, systems) would be needed to implement them? Are these resources obtainable?
3. How might local public benefit examples be shared, coordinated or emulated?
4. What roadblocks might be encountered? How can they be overcome?
5. To what extent will internal leadership, elected officials, and other stakeholders value Business Oregon's ability to tell the story of how business development incentives help advance economic opportunity for underrepresented people?
6. How should this information be used? Should findings be incorporated into the agency's public reporting (KPMs and annual report)? Into program reporting available on Oregon's transparency website? Distributed internally to improve understanding of incentive program outcomes and to adjust program administration? Other?
7. Which, if any, of the options discussed should Business Oregon pursue? Who within Business Oregon should lead tasks related to the most promising options?

May 3 Steering Group Agenda

Effectiveness and Efficiency Topic # 2

How can the Strategic Reserve Fund (SRF) procedures and criteria be reexamined or reconsidered to serve intended recipients and the State of Oregon more efficiently? Stakeholders and staff have noted a lack of clarity in both purpose and process for the SRF. Among the concerns that have been articulated are a shift away from business development to other priorities, an overly complex and unpredictable review process, the perception that the program is opaque and difficult to use, challenges navigating reporting requirements, and dismay over projects that leave the state once funding ends.

In today's meeting, the steering group will discuss "what could be done differently" to clarify purpose and improve processes.

1. What is SRF's defined purpose? How does SRF align with Business Oregon's strategic priorities? (*brief Smart Incentives presentation*)
2. **Purpose**. Can the SRF's strategic objectives be simply and consistently articulated? Should Business Oregon pursue steps to tie SRF use more closely to the strategic plan priorities? What updates should be made to program language to reflect the current approach to SRF? How should this be shared with stakeholders and partners?
3. **Process**. How might procedures be streamlined while minimizing Oregon's financial and political risk? Which process bottlenecks can most easily be remedied? For example:
    a. Major process steps: Project identification – SRF Review Group – Negotiations – Review Group – Director Approval – Governor's Approval (may send back for adjustments)
    b. Pre-award documentation: Application/intake form + required documentation – SRF/BEP intel sheet – Recommendation and justification – Public benefits agreement – Final agreement – Contract
    c. Post-award documentation: Payment requests – Project risk ratings – Documentation for loan forgiveness – Back and forth re company reporting on project documentation (re job calculations, for example) – Contract amendments, partial writeoffs, and clawbacks may be allowed – Project closeout
4. Who should participate in conversations about ways SRF might evolve?
5. Which steps can Business Oregon implement on its own?
6. What are the pros and cons of making changes to these programs?
7. Which, if any, of the options discussed should Business Oregon pursue? Who within Business Oregon should lead tasks related to the most promising options?

May 17 Steering Group Agenda

Effectiveness and Efficiency Topic # 3

In what new ways can Business Oregon present or market incentive programs to businesses and local partners?

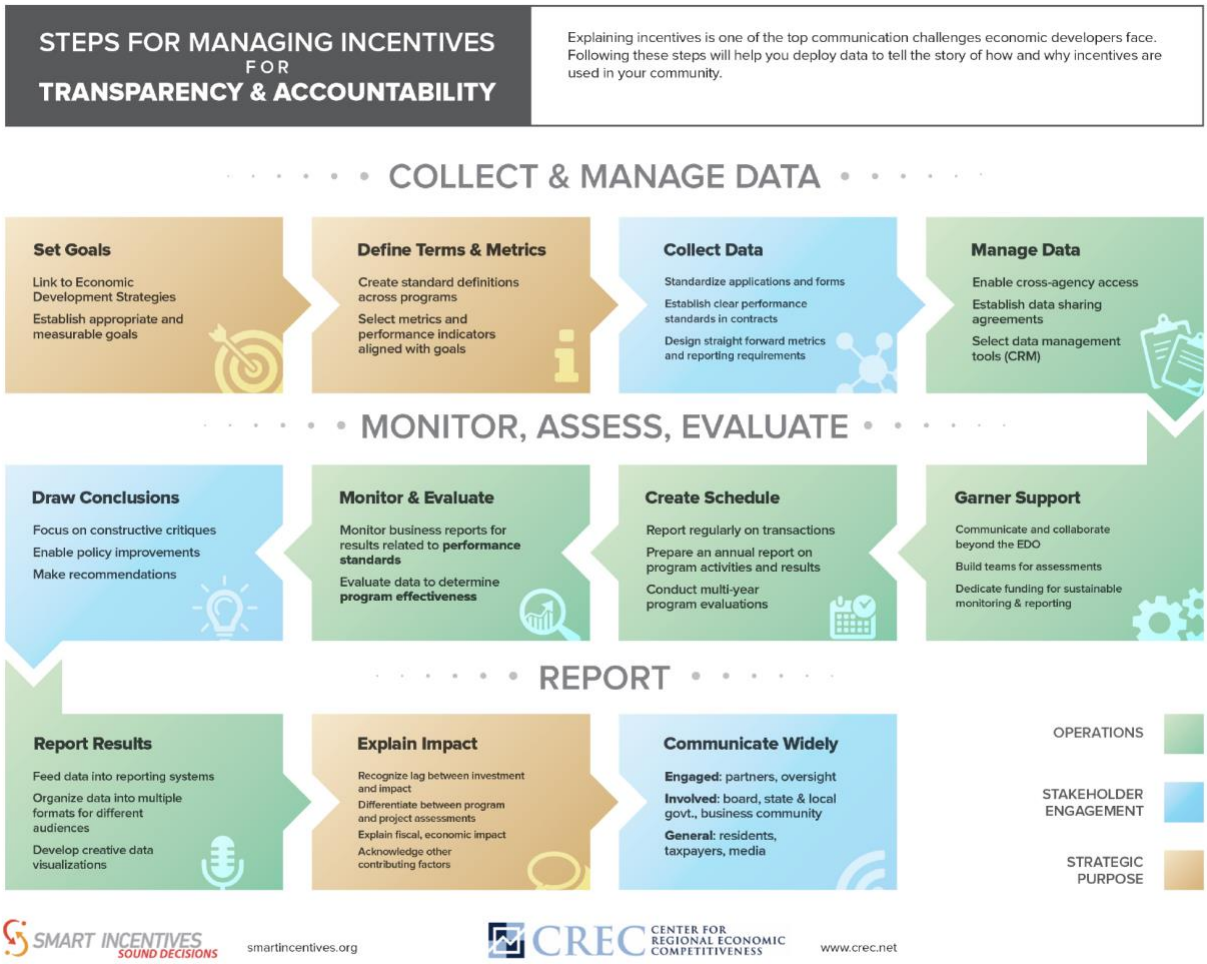
Explaining incentives is one of the top communication challenges economic developers face. Business incentives often involve financial transactions or tax strategies that elude easy understanding for laypersons. Knowledgeable businesses and economic development practitioners may also struggle to understand the eligibility and compliance criteria that vary across programs (and that may be further complicated by political or legislative choices) as they try to apply those criteria to their specific circumstances. Communication challenges are compounded whenever administrative guidelines and statutory requirements change. Information imbalances may exist between local officials and the lawyers or consultants of certain businesses.

The problems this meeting is intended to address include: How can Business Oregon assist and facilitate the confidence of especially understaffed local partners with necessary marketing and managing of programs. How can differentiated needs or circumstances of users be categorized (e.g., remote rural locations), and such user segments served appropriately with interactive means to learn and promote programs or drawing on special assistance? How can various types of cooperation between county assessors and economic development practitioners be fostered and enhanced?

In today's meeting, the steering group will discuss "what could be done differently" to share information through outreach and technical assistance to help businesses and local partners to better understand and make use of Oregon's incentive programs in a manner consistent with the state's strategic priorities.

1. What incentive information do businesses and local partners need? (*brief Smart Incentives presentation*)
2. How might incentive program information be better presented or taught? Are the typical stages of a development project (as described in the presentation) an appropriate framework for organizing information? What other examples are there for organizing schemes?
3. What are the available channels for sharing incentives information with businesses and local partners? What format (FAQs, videos, one-pagers, infographics, case studies, in-person briefings, training curricula, etc.) is appropriate for each channel?
4. Is there potential to encourage and facilitate local communities, practitioners and county assessor offices to share techniques, best practices and lessons learned among themselves, including for local coordination and processes? What are the options for enabling peer learning among local partners?
5. Can incentives be integrated explicitly with Business Oregon's strengths at marketing or with regionally based service provision?
6. What are the drivers and next steps for communication, marketing and technical assistance initiatives?
    a. To what extent will state agency leadership, elected officials, and other stakeholders value Business Oregon's ability to improve its communication around incentive programs?
    b. Who within Business Oregon and other government offices or organizations should participate in future conversations about marketing and technical assistance initiatives?
    c. Which options are most doable? What resources (staff, time, partnerships, systems) would be needed to implement them? Are these resources obtainable?
    d. What roadblocks might be encountered? How can they be overcome?
    e. Which, if any, of the options discussed should Business Oregon pursue? Who within Business Oregon should lead tasks related to the most promising options?

Managing Incentives for Transparency and Accountability



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[1] After adjusting for taxes shifted under true levies (e.g., for construction bonds); 2021 - 2023 TAX EXPENDITURE REPORT, State of Oregon

[2] After adjusting for taxes shifted under true levies (e.g., for construction bonds); 2021 - 2023 TAX EXPENDITURE REPORT, State of Oregon [this is already looking like a bit of an overestimation]

[3] After adjusting for taxes shifted under true levies (e.g., for construction bonds); 2021 - 2023 TAX EXPENDITURE REPORT, State of Oregon [this is already looking like a bit of an overestimation]